

Global Macro $\times$ Political Cycles

US Midterm Elections & Asset Allocation Implications

2026-05-05

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1 Preparation

1.1 Configuration Switch

1.2 Libraries

1.3 Market Data (Bloomberg + FRED)

```

if (USE_LIVE_DATA) {

  # ---- Bloomberg connection ----
  blpConnect()

  securities <- c(
    "MSEUSIA Index", # India
    "MSEUSCF Index", # China
    "MSIUEG Index", # Egypt
    "MSEUSSA Index", # South Africa
    "MSEUSKO Index", # South Korea
    "MSEUSTW Index", # Taiwan
    "MSEUSTHF Index", # Thailand
    "MSEUSCZ Index", # Czech Republic
    "MSEUSPO Index", # Poland
    "MXAR Index", # Argentina
    "MXCL Index", # Chile
    "M3GR Index", # Greece
    "MSEUSTK Index", # Turkey
    "MSDUCA Index", # Canada
    "MXUS Index", # USA
    "MSDUFR Index", # France
    "MSDUGR Index", # Germany
    "MXIL Index", # Israel
    "MSDUIT Index", # Italy
    "MSDUSW Index", # Sweden
    "MSDUSP Index", # Spain
    "MSDUSZ Index", # Switzerland
    "MSDUUK Index", # United Kingdom
  )
}

```

```

"MSDUAS Index", # Australia
"MSDUHK Index", # Hong Kong
"MSDUJN Index", # Japan
"MSDUSG Index"  # Singapore
)

countries <- c(
  "India", "China", "Egypt", "South Africa", "South Korea", "Taiwan",
  "Thailand", "Czech Republic", "Poland", "Argentina", "Chile", "Greece",
  "Turkey", "Canada", "USA", "France", "Germany", "Israel", "Italy",
  "Sweden", "Spain", "Switzerland", "United Kingdom", "Australia",
  "Hong Kong", "Japan", "Singapore"
)

start_date <- as.Date("1990-01-01")
end_date    <- Sys.Date()

etf_close_df <- data.frame()
for (i in seq_along(securities)) {
  security_df <- bdh(securities[i], fields = "PX_LAST",
                     start.date = start_date, end.date = end_date)
  colnames(security_df)[2] <- countries[i]
  etf_close_df <- if (nrow(etf_close_df) == 0) security_df else
    full_join(etf_close_df, security_df, by = "date")
}
colnames(etf_close_df) <- c("date", countries)
etf_close_xts <- xts(etf_close_df[, -1], order.by = etf_close_df$date)

# ---- Trade data from Bloomberg IMF DOTS ----
reporting_codes <- c(
  "India" = "534", "China" = "924", "Egypt" = "469",
  "South.Africa" = "199", "South.Korea" = "542", "Taiwan" = "528",
  "Thailand" = "578", "Czech.Republic" = "939", "Poland" = "964",
  "Argentina" = "213", "Chile" = "228", "Greece" = "174", "Turkey" = "186",
  "Canada" = "156", "USA" = "111", "France" = "132", "Germany" = "134",
  "Israel" = "436", "Italy" = "136", "Sweden" = "144", "Spain" = "184",
  "Switzerland" = "146", "United.Kingdom" = "112", "Australia" = "193",
  "Hong.Kong" = "532", "Japan" = "158", "Singapore" = "576"
)

export_tickers <- paste0(reporting_codes, "D0111 Index")
import_tickers <- paste0("111D0", reporting_codes, " Index")
names(export_tickers) <- names(import_tickers) <- names(reporting_codes)

get_trading_data <- function(ticker) {
  tryCatch(bdh(ticker, "PX_LAST", start.date = as.Date("1990-01-01")),
           error = function(e) NULL)
}

export_df <- bind_rows(lapply(export_tickers, get_trading_data), .id = "country")
import_df <- bind_rows(lapply(import_tickers, get_trading_data), .id = "country")
colnames(export_df)[3] <- "Exports_US"
colnames(import_df)[3] <- "Imports_US"
Trade_data <- left_join(export_df, import_df, by = c("date", "country")) %>%

```

```

mutate(Trade_Balance = Exports_US - Imports_US)

# ---- US Macro from FRED ----
start_date_macro <- as.Date("1988-01-01")
getSymbols(c("GDP", "CPIAUCSL", "FEDFUNDS"), src = "FRED", from = start_date_macro)
nber_raw <- tq_get("USREC", get = "economic.data", from = start_date_macro)
nber_xts <- xts(nber_raw[["price"]], order.by = nber_raw$date)

macro_raw <- merge(GDP, CPIAUCSL, FEDFUNDS, nber_xts)
colnames(macro_raw) <- c("GDP", "CPI", "FedFundsRate", "NBER")
macro_data_df <- data.frame(date = index(macro_raw), coredata(macro_raw)) %>%
  mutate(GDP = lag(GDP, 2), CPI = lag(CPI, 1))
macro_data_df[, 2:5] <- na.locf(macro_data_df[, 2:5], na.rm = FALSE)
macro_data_df <- macro_data_df %>%
  mutate(
    GDP_YoY = ROC(GDP, n = 12, type = "discrete"),
    CPI_YoY = ROC(CPI, n = 12, type = "discrete")
  ) %>%
  mutate(growth_regime = if_else(NBER == 1, "Low", "High")) %>%
  mutate(
    CPI_YoY_lag = lag(CPI_YoY, 12),
    inflation_surprise = CPI_YoY - CPI_YoY_lag,
    inflation_regime = case_when(
      CPI_YoY > 0.02 & inflation_surprise > 0 ~ "High", TRUE ~ "Low"
    )
  ) %>%
  mutate(
    FedChange = FedFundsRate - lag(FedFundsRate),
    FedRegime = case_when(
      FedChange > 0 ~ "Hiking", FedChange < 0 ~ "Cutting", TRUE ~ "Flat"
    )
  ) %>%
  mutate(
    macro_regime = case_when(
      growth_regime == "High" & inflation_regime == "Low" ~ "Goldilocks",
      growth_regime == "High" & inflation_regime == "High" ~ "Overheating",
      growth_regime == "Low" & inflation_regime == "Low" ~ "Downturn",
      growth_regime == "Low" & inflation_regime == "High" ~ "Stagflation"
    ),
    combined_regime = paste(macro_regime, FedRegime, sep = " + ")
  ) %>%
  na.omit()

if (SAVE_TO_RDATA) {
  Regimes <- unique(macro_data_df$macro_regime)
  save(etf_close_xts, macro_data_df, Trade_data, Regimes,
       file = "Minimal_Data.RData")
  message("Minimal_Data.RData refreshed on ", Sys.Date())
}

} else {
  # Load cached Bloomberg data
  load("Minimal_Data.RData")

```

```

}

# ---- Pastor-Veronesi control proxies (available from cached data) ----
macro_data_df <- macro_data_df %>%
  mutate(
    TSP = -FedChange / 100,
    DSP = pmax(inflation_surprise, 0)
  )

Regimes <- unique(macro_data_df$macro_regime)

```

2 Political Data

2.1 Presidential Party History

```

# Hardcoded presidential terms 1929-2029
presidents <- tribble(
  ~start,          ~end,          ~president,    ~party_pres,
  "1929-03-04",    "1933-03-04",    "Hoover",      "R",
  "1933-03-04",    "1945-04-12",    "Roosevelt",   "D",
  "1945-04-12",    "1953-01-20",    "Truman",      "D",
  "1953-01-20",    "1961-01-20",    "Eisenhower",  "R",
  "1961-01-20",    "1963-11-22",    "Kennedy",     "D",
  "1963-11-22",    "1969-01-20",    "Johnson",     "D",
  "1969-01-20",    "1974-08-09",    "Nixon",       "R",
  "1974-08-09",    "1977-01-20",    "Ford",        "R",
  "1977-01-20",    "1981-01-20",    "Carter",      "D",
  "1981-01-20",    "1989-01-20",    "Reagan",      "R",
  "1989-01-20",    "1993-01-20",    "Bush Sr",     "R",
  "1993-01-20",    "2001-01-20",    "Clinton",     "D",
  "2001-01-20",    "2009-01-20",    "Bush Jr",     "R",
  "2009-01-20",    "2017-01-20",    "Obama",       "D",
  "2017-01-20",    "2021-01-20",    "Trump 1",     "R",
  "2021-01-20",    "2025-01-20",    "Biden",       "D",
  "2025-01-20",    "2029-01-20",    "Trump 2",     "R"
) %>%
  mutate(start = as.Date(start), end = as.Date(end))

# Congressional majority: House and Senate by Congress (100th = 1987-1989)
congress_data <- tribble(
  ~congress, ~start_date, ~end_date, ~house_maj, ~senate_maj,
  100,       "1987-01-03", "1989-01-03", "D",        "D",
  101,       "1989-01-03", "1991-01-03", "D",        "D",
  102,       "1991-01-03", "1993-01-03", "D",        "D",
  103,       "1993-01-03", "1995-01-03", "D",        "D",
  104,       "1995-01-03", "1997-01-03", "R",        "R",
  105,       "1997-01-03", "1999-01-03", "R",        "R",
  106,       "1999-01-03", "2001-01-03", "R",        "R",
  107,       "2001-01-03", "2003-01-03", "R",        "D", # Jeffords defection -> D Senate
  108,       "2003-01-03", "2005-01-03", "R",        "R",
  109,       "2005-01-03", "2007-01-03", "R",        "R",

```

```

110,      "2007-01-03", "2009-01-03", "D",      "D",
111,      "2009-01-03", "2011-01-03", "D",      "D",
112,      "2011-01-03", "2013-01-03", "R",      "D",
113,      "2013-01-03", "2015-01-03", "R",      "D",
114,      "2015-01-03", "2017-01-03", "R",      "R",
115,      "2017-01-03", "2019-01-03", "R",      "R",
116,      "2019-01-03", "2021-01-03", "D",      "R",
117,      "2021-01-03", "2023-01-03", "D",      "D",      # 50/50 + VP tiebreaker
118,      "2023-01-03", "2025-01-03", "R",      "R",
119,      "2025-01-03", "2027-01-03", "R",      "R"
) %>%
  mutate(start_date = as.Date(start_date), end_date = as.Date(end_date))

# Expand to monthly dates
expand_to_monthly <- function(df, start_col, end_col) {
  map2_dfr(seq_len(nrow(df)), df[[end_col]], function(i, end_d) {
    months <- seq(df[[start_col]][i],
                  min(end_d - 1, as.Date("2026-01-01")),
                  by = "month")
    cbind(date = months, df[i, ])
  })
}

pres_monthly <- map2_dfr(seq_len(nrow(presidents)), presidents$end, function(i, end_d) {
  # Generate monthly first-of-month dates for this presidency
  start_fom <- floor_date(presidents$start[i], "month")
  end_fom <- floor_date(min(end_d, as.Date("2027-01-01")), "month")
  months <- seq(start_fom, end_fom, by = "month")
  data.frame(date = months, president = presidents$president[i],
             party_pres = presidents$party_pres[i])
}) %>%
  mutate(date = as.Date(date)) %>%
  distinct(date, .keep_all = TRUE) # keep first entry on transition months

cong_monthly <- map2_dfr(seq_len(nrow(congress_data)), congress_data$end_date, function(i, end_d) {
  start_fom <- floor_date(congress_data$start_date[i], "month")
  end_fom <- floor_date(min(end_d, as.Date("2027-01-01")), "month")
  months <- seq(start_fom, end_fom, by = "month")
  data.frame(date = months,
             house_maj = congress_data$house_maj[i],
             senate_maj = congress_data$senate_maj[i])
}) %>%
  mutate(date = as.Date(date)) %>%
  distinct(date, .keep_all = TRUE)

# Combine into political monthly series
political_df <- pres_monthly %>%
  left_join(cong_monthly, by = "date") %>%
  mutate(
    unified_govt = (party_pres == house_maj & party_pres == senate_maj),
    divided_govt = !unified_govt,
    midterm_year = (year(date) %% 4 == 2),
    govt_type = case_when(

```

```

party_pres == "R" & house_maj == "R" ~ "R Unified",
party_pres == "D" & house_maj == "D" ~ "D Unified",
party_pres == "R" & house_maj == "D" ~ "R Pres / D House",
party_pres == "D" & house_maj == "R" ~ "D Pres / R House"
)
)

# Merge political data into macro_data_df
macro_data_df <- macro_data_df %>%
  left_join(political_df %>% dplyr::select(date, president, party_pres,
                                          house_maj, senate_maj,
                                          unified_govt, divided_govt,
                                          midterm_year, govt_type),
            by = "date") %>%
  filter(!is.na(party_pres)) %>%
  mutate(
    full_regime = paste(macro_regime, party_pres, sep = " + "),
    scenario_regime = paste(macro_regime, govt_type, sep = "\n")
  )

# Summary of political regimes observed
pol_summary <- macro_data_df %>%
  count(govt_type, party_pres, full_regime, name = "months") %>%
  arrange(desc(months))

knitr::kable(pol_summary,
              caption = "Months observed per political configuration (1990-2025)")

```

Table 1: Months observed per political configuration (1990–2025)

govt_type	party_pres	full_regime	months
D Pres / R House	D	Goldilocks + D	114
R Unified	R	Overheating + R	56
D Pres / R House	D	Overheating + D	54
R Pres / D House	R	Goldilocks + R	48
R Unified	R	Goldilocks + R	47
D Unified	D	Goldilocks + D	35
D Unified	D	Overheating + D	32
R Pres / D House	R	Stagflation + R	19
R Pres / D House	R	Overheating + R	13
R Unified	R	Downturn + R	6
D Unified	D	Downturn + D	5
R Pres / D House	R	Downturn + R	4
R Unified	R	Stagflation + R	2

2.2 Regime Observation Counts

```

obs_table <- macro_data_df %>%
  count(macro_regime, party_pres, name = "n_months") %>%
  pivot_wider(names_from = party_pres, values_from = n_months, values_fill = 0) %>%
  mutate(Total = rowSums(across(where(is.numeric)), na.rm = TRUE))

```

```
knitr::kable(obs_table, caption = "Macro regime × presidential party: months observed")
```

Table 2: Macro regime × presidential party: months observed

macro_regime	D	R	Total
Downturn	5	10	15
Goldilocks	149	95	244
Overheating	86	69	155
Stagflation	0	21	21

3 Country ETF Returns — Regime Setup

```
# Weekly returns from Bloomberg data (loaded via Minimal_Data.RData)
etf_close_xts_weekly <- apply.weekly(etf_close_xts, first)
etf_returns_xts      <- ROC(etf_close_xts_weekly, n = 1, type = "discrete")

etf_returns_df <- data.frame(date = index(etf_returns_xts), coredata(etf_returns_xts))
etf_returns_df <- etf_returns_df[-1, ]

etf_returns_df <- etf_returns_df %>%
  mutate(month_date = floor_date(date, "month"))

etf_returns_long <- etf_returns_df %>%
  pivot_longer(-c(date, month_date), names_to = "ETF", values_to = "return")

returns_with_regimes <- etf_returns_long %>%
  left_join(
    macro_data_df %>%
      dplyr::select(date, macro_regime, combined_regime, party_pres,
                    house_maj, senate_maj, unified_govt, govt_type, full_regime,
                    inflation_surprise, FedChange, growth_regime,
                    TSP, DSP) %>%
      rename(month_date = date),
    by = "month_date"
  ) %>%
  dplyr::select(-month_date) %>%
  filter(date >= as.Date("1990-02-01"), !is.na(macro_regime), !is.na(party_pres))
```

4 The Presidential Puzzle

4.1 Democratic vs Republican Excess Returns by Country

Replication of Santa-Clara & Valkanov (2003): average annualised return by presidential party.

```
puzzle_df <- returns_with_regimes %>%
  group_by(ETF, party_pres) %>%
  summarise(AnnReturn = mean(return, na.rm = TRUE) * 52, .groups = "drop") %>%
  pivot_wider(names_from = party_pres, values_from = AnnReturn) %>%
```



```

mutate(
  D_minus_R = D - R,
  across(c(D, R, D_minus_R), ~ round(.x * 100, 2))
) %>%
arrange(desc(D_minus_R)) %>%
rename(Country = ETF,
  `D Return (%)` = D,
  `R Return (%)` = R,
  `D minus R (pp)` = D_minus_R)

knitr::kable(puzzle_df,
  caption = "Presidential Puzzle: Annualised returns under Democrat vs Republican presidents",
  kable_styling(latex_options = c("hold_position", "striped"), font_size = 9) %>%
  row_spec(which(puzzle_df$`D minus R (pp)` > 0), color = "black") %>%
  column_spec(4, bold = TRUE)

```

Table 3: Presidential Puzzle: Annualised returns under Democrat vs Republican presidents (weekly, 1990–2025)

Country	D Return (%)	R Return (%)	D minus R (pp)
Turkey	19.30	2.34	16.96
USA	13.83	4.19	9.65
Italy	9.87	0.25	9.62
Taiwan	11.48	2.10	9.38
Sweden	13.71	5.37	8.35
Germany	10.67	3.10	7.57
France	10.25	3.68	6.57
United.Kingdom	8.29	2.14	6.15
Poland	15.70	10.09	5.60
Canada	10.88	5.29	5.59
Argentina	21.22	16.72	4.50
Switzerland	11.06	7.03	4.02
Spain	9.95	6.06	3.89
Japan	5.07	1.36	3.71
Australia	8.20	5.06	3.14
Singapore	7.42	4.80	2.62
Israel	7.02	6.65	0.37
India	10.66	11.43	-0.76
Hong.Kong	8.47	9.48	-1.02
South.Africa	8.42	13.61	-5.19
Thailand	3.10	10.92	-7.82
South.Korea	6.91	15.98	-9.07
Chile	4.03	16.30	-12.27
Greece	-7.67	7.12	-14.80
China	-1.49	14.07	-15.56
Czech.Republic	2.45	19.17	-16.71
Egypt	0.64	18.37	-17.74

4.2 D vs R Spread Heatmap

```

puzzle_mat <- puzzle_df %>%
  dplyr::select(Country, `D minus R (pp)`) %>%

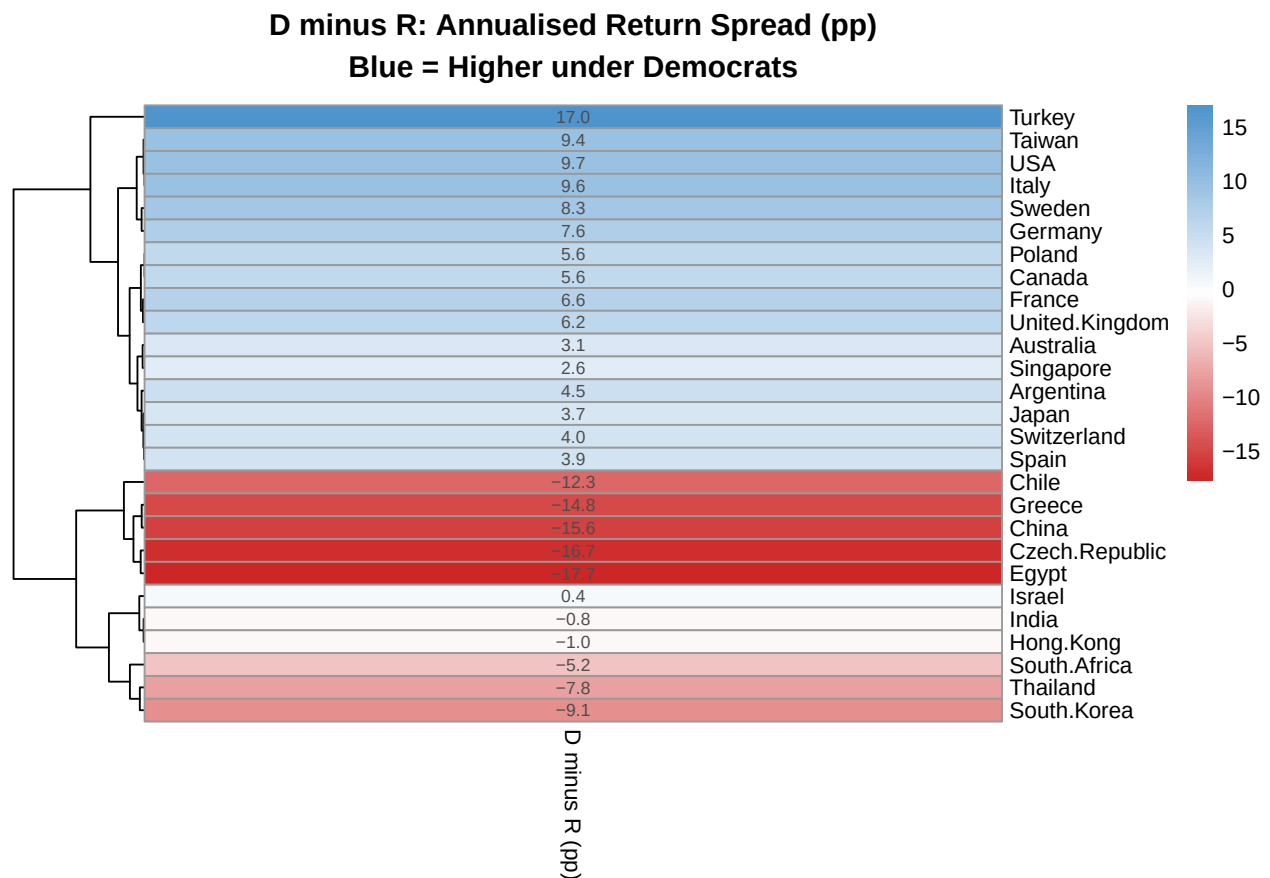
```

```

column_to_rownames("Country") %>%
as.matrix()

pheatmap(
  puzzle_mat,
  cluster_rows = TRUE,
  cluster_cols = FALSE,
  display_numbers = TRUE,
  number_format = "%.1f",
  color = colorRampPalette(c("firebrick3", "white", "steelblue3"))(100),
  main = "D minus R: Annualised Return Spread (pp)\nBlue = Higher under Democrats",
  fontsize = 9
)

```



4.3 Pastor-Veronesi Style Regression

Controls for term spread (*TSP*), default spread (*DSP*), and Fed rate change — following Pastor & Veronesi (2017) NBER w23184.

```

pv_data <- returns_with_regimes %>%
  mutate(party_dummy = if_else(party_pres == "D", 1L, 0L))

pv_results <- pv_data %>%
  group_by(ETF) %>%
  nest() %>%
  mutate(

```

```

    model      = map(data, ~ lm(return ~ party_dummy + TSP + DSP + FedChange, data = .x)),
    tidy_out   = map(model, tidy),
    glance_out = map(model, glance)
  )

pv_coefs <- pv_results %>%
  dplyr::select(ETF, tidy_out) %>%
  unnest(tidy_out) %>%
  filter(term == "party_dummy") %>%
  mutate(
    ann_coef = estimate * 52 * 100,
    significant = p.value < 0.10
  ) %>%
  left_join(
    pv_results %>%
      dplyr::select(ETF, glance_out) %>%
      unnest(glance_out) %>%
      dplyr::select(ETF, r.squared, adj.r.squared),
    by = "ETF"
  ) %>%
  mutate(across(c(ann_coef, r.squared), ~ round(.x, 2))) %>%
  mutate(p.value = round(p.value, 3)) %>%
  arrange(desc(ann_coef)) %>%
  dplyr::select(ETF, `D coef (ann %)` = ann_coef, `p-value` = p.value,
    `Sig (10%)` = significant, `R²` = r.squared)

knitr::kable(pv_coefs,
  caption = "Pastor-Veronesi regression: Democratic presidency coefficient on weekly returns",
  kable_styling(latex_options = c("hold_position", "scale_down"), font_size = 8)

```

Table 4: Pastor-Veronesi regression: Democratic presidency coefficient on weekly returns (controls: TSP, DSP, FedChange)

ETF	D coef (ann %)	p-value	Sig (10%)	R²
Turkey	11.31	0.494	FALSE	0.00
Taiwan	11.30	0.262	FALSE	0.00
USA	9.78	0.128	FALSE	0.01
Sweden	7.45	0.447	FALSE	0.01
Italy	7.12	0.423	FALSE	0.01
Poland	6.96	0.596	FALSE	0.00
Germany	6.19	0.445	FALSE	0.01
United.Kingdom	4.40	0.521	FALSE	0.01
Switzerland	4.26	0.507	FALSE	0.00
France	4.24	0.584	FALSE	0.01
Spain	3.07	0.725	FALSE	0.01
Canada	2.81	0.702	FALSE	0.01
Singapore	2.32	0.773	FALSE	0.00
Japan	1.78	0.820	FALSE	0.00
Argentina	0.41	0.979	FALSE	0.00
Australia	0.06	0.994	FALSE	0.01
Israel	-0.53	0.950	FALSE	0.00
Hong.Kong	-0.69	0.938	FALSE	0.00
Thailand	-5.09	0.671	FALSE	0.00
India	-6.32	0.532	FALSE	0.01
South.Africa	-9.23	0.395	FALSE	0.01

South.Korea	-9.87	0.409	FALSE	0.00
Chile	-15.08	0.090	TRUE	0.00
China	-15.47	0.190	FALSE	0.01
Greece	-16.93	0.272	FALSE	0.02
Czech.Republic	-19.01	0.059	TRUE	0.01
Egypt	-21.86	0.068	TRUE	0.01

5 Macro Regime × Political Party Analysis

5.1 Helper Functions

```
remove_na_heavy <- function(df, row_thresh = 0.5, col_thresh = 0.5,
                           interpolate = FALSE) {
  if (row_thresh > 1) row_thresh <- row_thresh / 100
  if (col_thresh > 1) col_thresh <- col_thresh / 100
  row_na_prop <- rowMeans(is.na(df))
  df <- df[row_na_prop <= row_thresh, , drop = FALSE]
  col_na_prop <- colMeans(is.na(df))
  df <- df[, col_na_prop <= col_thresh, drop = FALSE]
  if (interpolate) {
    is_numeric <- sapply(df, is.numeric)
    df[is_numeric] <- lapply(df[is_numeric], function(col) {
      na_idx <- is.na(col)
      if (all(na_idx)) return(col)
      approx(x = which(!na_idx), y = col[!na_idx],
             xout = seq_along(col), rule = 2)$y
    })
  }
  return(df)
}

summarise_regime <- function(data, regime_col = "macro_regime") {
  regime_names <- unique(data[[regime_col]])
  regime_names <- regime_names[!is.na(regime_names)]

  performance_list <- list()
  portfolio_list <- list()
  Port_Ret <- Port_Sd <- Port_Sharpe <- numeric()

  data <- as_tibble(data)

  for (regime in regime_names) {
    df <- data %>%
      filter(.data[[regime_col]] == regime) %>%
      dplyr::select(date, ETF, return) %>%
      pivot_wider(names_from = ETF, values_from = return)

    valid_cols <- colSums(!is.na(df[, -1])) > 0
    df <- df[, c(TRUE, valid_cols)]
    df <- df[rowSums(is.na(df[, -1])) < ncol(df) - 1, ]
  }
}
```

```

returns_mat <- as.matrix(df[, -1])
returns_mat <- returns_mat[, colSums(!is.na(returns_mat)) >= 26, drop = FALSE]
if (ncol(returns_mat) < 2) next

mean_ret <- colMeans(returns_mat, na.rm = TRUE) * 52
sd_ret <- apply(returns_mat, 2, sd, na.rm = TRUE) * sqrt(52)
sharpe <- mean_ret / sd_ret

us_ret <- if ("USA" %in% names(mean_ret)) mean_ret["USA"] else NA_real_
excess <- mean_ret - us_ret

perf_df <- data.frame(
  ETF = names(mean_ret),
  AnnReturn = round(mean_ret * 100, 2),
  AnnVolatility = round(sd_ret * 100, 2),
  ExcessRetUS_pp = round(excess * 100, 2),
  Sharpe = round(sharpe, 2)
) %>% arrange(desc(Sharpe))

performance_list[[regime]] <- perf_df

# MVO
clean_mat <- as.matrix(
  remove_na_heavy(as.data.frame(returns_mat),
    row_thresh = 0.5, col_thresh = 0.3, interpolate = TRUE)
)
mu <- colMeans(clean_mat, na.rm = TRUE) * 52
Sigma <- cov(clean_mat, use = "pairwise.complete.obs") * 52
n <- length(mu)
Dmat <- 2 * Sigma
dvec <- rep(0, n)
Amat <- cbind(matrix(1, n, 1), diag(n))
bvec <- c(1, rep(0, n))

sol <- tryCatch(solve.QP(Dmat, dvec, Amat, bvec, meq = 1),
  error = function(e) NULL)
if (is.null(sol)) next

w <- sol$solution
port_ret <- as.numeric(t(w) %*% mu)
port_var <- as.numeric(t(w) %*% Sigma %*% w)
port_sd <- sqrt(pmax(port_var, 0))
Port_Ret[regime] <- port_ret
Port_Sd[regime] <- port_sd
Port_Sharpe[regime] <- port_ret / port_sd

portfolio_list[[regime]] <- data.frame(
  ETF = names(clean_mat[1, ]),
  Weights = round(w, 4)
)
}

port_perf <- data.frame(

```

```

Regime          = names(Port_Ret),
Portfolio_Return = round(Port_Ret * 100, 2),
Portfolio_SD     = round(Port_Sd * 100, 2),
Portfolio_Sharpe = round(Port_Sharpe, 2)
)

list(performance = performance_list,
      portfolio   = portfolio_list,
      portfolio_perf = port_perf)
}

```

5.2 Classic Macro Regimes (Replication of v1)

```

results_classic <- summarise_regime(returns_with_regimes, "macro_regime")

for (regime in Regimes) {
  if (is.null(results_classic$performance[[regime]])) next
  cat("### Performance in", regime, "\n\n")
  print(knitr::kable(
    results_classic$performance[[regime]],
    digits = 2,
    caption = paste("Country performance in", regime, "regime (1990-2025)")
  ) %>% kable_styling(latex_options = c("hold_position", "scale_down"), font_size = 8))
  cat("\n\n\\newpage\n\n")
}

```

5.2.1 Performance in Overheating

Table 5: Country performance in Overheating regime (1990–2025)

	ETF	AnnReturn	AnnVolatility	ExcessRetUS_pp	Sharpe
Argentina	Argentina	29.99	42.77	22.18	0.70
Canada	Canada	12.58	19.11	4.77	0.66
Israel	Israel	13.31	24.61	5.50	0.54
Chile	Chile	13.13	24.86	5.32	0.53
Egypt	Egypt	16.32	31.28	8.51	0.52
South.Africa	South.Africa	13.32	26.66	5.51	0.50
USA	USA	7.81	15.98	0.00	0.49
India	India	12.43	28.11	4.62	0.44
Switzerland	Switzerland	7.19	16.97	-0.62	0.42
Czech.Republic	Czech.Republic	10.76	25.94	2.95	0.41
France	France	7.65	21.32	-0.16	0.36
Hong.Kong	Hong.Kong	7.56	21.76	-0.25	0.35
Spain	Spain	7.63	22.33	-0.18	0.34
United.Kingdom	United.Kingdom	5.33	16.97	-2.47	0.31
Australia	Australia	6.02	19.94	-1.79	0.30
Turkey	Turkey	14.65	49.95	6.84	0.29
Sweden	Sweden	6.85	26.08	-0.96	0.26
Singapore	Singapore	3.74	19.09	-4.06	0.20
Germany	Germany	4.19	22.43	-3.62	0.19
Poland	Poland	5.71	33.46	-2.10	0.17
China	China	2.01	29.18	-5.80	0.07
South.Korea	South.Korea	2.18	32.58	-5.63	0.07
Taiwan	Taiwan	1.00	27.67	-6.81	0.04
Japan	Japan	0.29	21.45	-7.52	0.01

Italy	Italy	-0.26	23.98	-8.07	-0.01
Thailand	Thailand	-0.76	28.05	-8.57	-0.03
Greece	Greece	-8.76	33.97	-16.57	-0.26

5.2.2 Performance in Goldilocks

Table 6: Country performance in Goldilocks regime (1990–2025)

	ETF	AnnReturn	AnnVolatility	ExcessRetUS_pp	Sharpe
USA	USA	14.27	15.91	0.00	0.90
Switzerland	Switzerland	14.51	17.31	0.24	0.84
Germany	Germany	15.53	20.97	1.26	0.74
Poland	Poland	25.12	35.09	10.85	0.72
Sweden	Sweden	16.49	23.27	2.22	0.71
Italy	Italy	16.26	23.84	1.99	0.68
India	India	14.79	22.80	0.51	0.65
France	France	12.59	19.91	-1.68	0.63
Australia	Australia	11.31	19.40	-2.97	0.58
South.Korea	South.Korea	18.70	32.64	4.43	0.57
Spain	Spain	13.74	23.89	-0.54	0.57
Czech.Republic	Czech.Republic	12.93	22.93	-1.34	0.56
United.Kingdom	United.Kingdom	9.76	17.54	-4.51	0.56
Taiwan	Taiwan	14.20	25.88	-0.08	0.55
Canada	Canada	9.52	17.72	-4.75	0.54
Hong.Kong	Hong.Kong	13.80	25.49	-0.47	0.54
Singapore	Singapore	12.21	22.74	-2.07	0.54
Argentina	Argentina	20.15	42.19	5.88	0.48
South.Africa	South.Africa	13.02	28.56	-1.26	0.46
Egypt	Egypt	11.79	28.34	-2.49	0.42
Japan	Japan	8.73	21.02	-5.55	0.42
Thailand	Thailand	14.39	36.41	0.12	0.40
Greece	Greece	12.40	35.32	-1.87	0.35
Turkey	Turkey	14.41	42.02	0.14	0.34
Chile	Chile	7.00	23.58	-7.27	0.30
China	China	9.02	31.53	-5.25	0.29
Israel	Israel	5.58	21.02	-8.70	0.27

5.2.3 Performance in Downturn

Table 7: Country performance in Downturn regime (1990–2025)

	ETF	AnnReturn	AnnVolatility	ExcessRetUS_pp	Sharpe
South.Korea	South.Korea	83.60	47.55	62.40	1.76
India	India	76.26	48.98	55.06	1.56
Australia	Australia	54.80	37.62	33.60	1.46
Chile	Chile	48.59	33.48	27.39	1.45
Israel	Israel	42.99	30.05	21.78	1.43
Greece	Greece	68.56	52.78	47.36	1.30
Canada	Canada	42.26	37.51	21.06	1.13
China	China	39.93	44.75	18.73	0.89
South.Africa	South.Africa	38.65	43.94	17.45	0.88
Czech.Republic	Czech.Republic	36.53	41.37	15.32	0.88
Sweden	Sweden	43.86	53.03	22.65	0.83
United.Kingdom	United.Kingdom	30.11	36.61	8.90	0.82
Hong.Kong	Hong.Kong	25.78	33.94	4.57	0.76
Switzerland	Switzerland	19.76	28.80	-1.45	0.69
USA	USA	21.20	33.26	0.00	0.64
Turkey	Turkey	40.19	64.46	18.99	0.62
Thailand	Thailand	24.65	40.43	3.45	0.61
Singapore	Singapore	17.93	37.24	-3.27	0.48
Poland	Poland	23.40	52.64	2.20	0.44
Spain	Spain	15.75	36.99	-5.45	0.43
Taiwan	Taiwan	17.89	45.52	-3.31	0.39
France	France	12.99	36.31	-8.21	0.36
Germany	Germany	13.37	39.20	-7.84	0.34
Egypt	Egypt	12.65	41.17	-8.55	0.31
Italy	Italy	1.99	42.61	-19.22	0.05
Japan	Japan	-0.65	29.88	-21.85	-0.02
Argentina	Argentina	-34.06	48.35	-55.27	-0.70

5.2.4 Performance in Stagflation

Table 8: Country performance in Stagflation regime (1990–2025)

	ETF	AnnReturn	AnnVolatility	ExcessRetUS_pp	Sharpe
Chile	Chile	-15.26	41.80	25.83	-0.36
Argentina	Argentina	-27.64	69.02	13.45	-0.40
Taiwan	Taiwan	-34.79	50.05	6.29	-0.70
Turkey	Turkey	-62.41	70.85	-21.33	-0.88
Japan	Japan	-32.83	37.26	8.26	-0.88
Thailand	Thailand	-42.65	48.07	-1.57	-0.89
China	China	-70.41	58.47	-29.33	-1.20
South.Korea	South.Korea	-65.90	51.54	-24.81	-1.28
Czech.Republic	Czech.Republic	-79.45	59.51	-38.37	-1.34
Hong.Kong	Hong.Kong	-50.01	36.92	-8.93	-1.35
Spain	Spain	-57.50	42.01	-16.42	-1.37
Canada	Canada	-60.36	43.82	-19.28	-1.38
Singapore	Singapore	-53.22	38.12	-12.13	-1.40
USA	USA	-41.08	29.19	0.00	-1.41
Switzerland	Switzerland	-44.43	29.25	-3.35	-1.52
Sweden	Sweden	-74.25	46.80	-33.17	-1.59
South.Africa	South.Africa	-86.80	54.24	-45.71	-1.60
United.Kingdom	United.Kingdom	-59.99	37.51	-18.90	-1.60
France	France	-61.11	37.31	-20.03	-1.64
Australia	Australia	-74.51	44.11	-33.43	-1.69
Poland	Poland	-102.29	54.61	-61.21	-1.87
Germany	Germany	-70.74	37.13	-29.65	-1.90
Italy	Italy	-74.04	38.12	-32.96	-1.94
Egypt	Egypt	-100.73	46.54	-59.65	-2.16
Israel	Israel	-75.13	31.52	-34.05	-2.38
India	India	-129.57	53.81	-88.48	-2.41
Greece	Greece	-148.24	57.24	-107.16	-2.59

5.3 Regime $\times$ Party: All 8 Combinations

```
returns_with_regimes_fp <- returns_with_regimes %>%
  mutate(full_regime_col = full_regime)

results_full <- summarise_regime(returns_with_regimes_fp, "full_regime_col")

# Summary table: portfolio performance across all 8 regimes
knitr::kable(results_full$portfolio_perf,
  caption = "MVO Portfolio Performance: Macro Regime  $\times$  Presidential Party") %>%
  kable_styling(latex_options = c("hold_position"), font_size = 9)
```

Table 9: MVO Portfolio Performance: Macro Regime $\times$ Presidential Party

	Regime	Portfolio_Return	Portfolio_SD	Portfolio_Sharpe
Overheating + R	Overheating + R	12.00	11.37	1.06
Goldilocks + R	Goldilocks + R	20.93	12.02	1.74
Downturn + R	Downturn + R	-1.10	20.27	-0.05
Stagflation + R	Stagflation + R	-40.85	27.08	-1.51
Overheating + D	Overheating + D	-3.95	13.69	-0.29
Goldilocks + D	Goldilocks + D	16.07	12.22	1.31

5.4 Unified vs Divided Government

```
govt_perf <- returns_with_regimes %>%
  mutate(govt_col = govt_type) %>%
  group_by(ETF, govt_col) %>%
  summarise(
    AnnReturn = mean(return, na.rm = TRUE) * 52 * 100,
    AnnVol     = sd(return, na.rm = TRUE) * sqrt(52) * 100,
    Sharpe     = AnnReturn / AnnVol,
    .groups    = "drop"
  ) %>%
  filter(!is.na(govt_col)) %>%
  pivot_wider(names_from = govt_col,
    values_from = c(AnnReturn, AnnVol, Sharpe),
    names_glue = "{govt_col}: {.value}") %>%
  mutate(across(where(is.numeric), ~ round(.x, 2)))

knitr::kable(govt_perf,
  caption = "Country ETF Performance by Government Configuration") %>%
  kable_styling(latex_options = c("hold_position", "scale_down"), font_size = 7)
```

Table 10: Coun

ETF	D Pres / R House: AnnReturn	D Unified: AnnReturn	R Pres / D House: AnnReturn	R Unified: AnnReturn	D Pres / R H
Argentina	14.48	37.57	22.79	12.17	
Australia	2.73	21.01	-5.16	12.86	
Canada	8.91	15.50	-2.16	10.96	
Chile	-4.46	23.93	13.16	18.71	
China	-1.66	-1.09	11.12	15.37	
Czech.Republic	-2.64	20.09	-1.70	28.28	
Egypt	-2.22	8.80	-7.63	29.72	

France	9.20	12.72	-1.82	7.87
Germany	9.65	13.07	-2.23	7.16
Greece	-15.81	8.69	-20.75	21.40
Hong.Kong	5.95	14.36	8.22	10.45
India	3.98	26.27	-3.10	17.86
Israel	9.88	0.31	5.79	7.03
Italy	7.45	15.53	-12.76	10.18
Japan	3.38	9.04	-8.19	8.64
Poland	4.24	42.39	-18.73	22.86
Singapore	2.06	19.93	-4.35	11.78
South.Africa	0.45	27.00	-3.69	21.27
South.Korea	2.99	16.07	-1.05	28.98
Spain	10.09	9.62	-6.39	15.55
Sweden	10.84	21.50	-3.34	10.70
Switzerland	9.54	14.61	3.20	9.96
Taiwan	5.91	24.49	-9.97	11.32
Thailand	-5.43	23.03	1.68	17.96
Turkey	12.99	34.01	-18.01	17.86
USA	15.99	8.66	4.87	3.67
United.Kingdom	6.02	13.60	-5.53	8.00

5.5 Regime $\times$ Party Performance Heatmap

```
# define which heatmap to draw
heatmap_version <- "Sharpe" # options: "Return", "Volatility", "Sharpe"

heatmap_data_return <- returns_with_regimes %>%
  filter(!is.na(full_regime)) %>%
  group_by(ETF, full_regime) %>%
  summarise(AnnReturn = mean(return, na.rm = TRUE) * 52 * 100, .groups = "drop") %>%
  pivot_wider(names_from = full_regime, values_from = AnnReturn)

heatmap_data_vola <- returns_with_regimes %>%
  filter(!is.na(full_regime)) %>%
  group_by(ETF, full_regime) %>%
  summarise(AnnVol = sd(return, na.rm = TRUE) * sqrt(52) * 100, .groups = "drop") %>%
  pivot_wider(names_from = full_regime, values_from = AnnVol)

heatmap_data_sharpe <- returns_with_regimes %>%
  filter(!is.na(full_regime)) %>%
  group_by(ETF, full_regime) %>%
  summarise(Sharpe = (mean(return, na.rm = TRUE) * 52) / (sd(return, na.rm = TRUE) * sqrt(52)), .groups = "drop") %>%
  pivot_wider(names_from = full_regime, values_from = Sharpe)

heatmap_data <- switch(
  heatmap_version,
  "Return" = heatmap_data_return,
  "Volatility" = heatmap_data_vola,
  "Sharpe" = heatmap_data_sharpe,
  stop("Invalid heatmap version specified.")
)

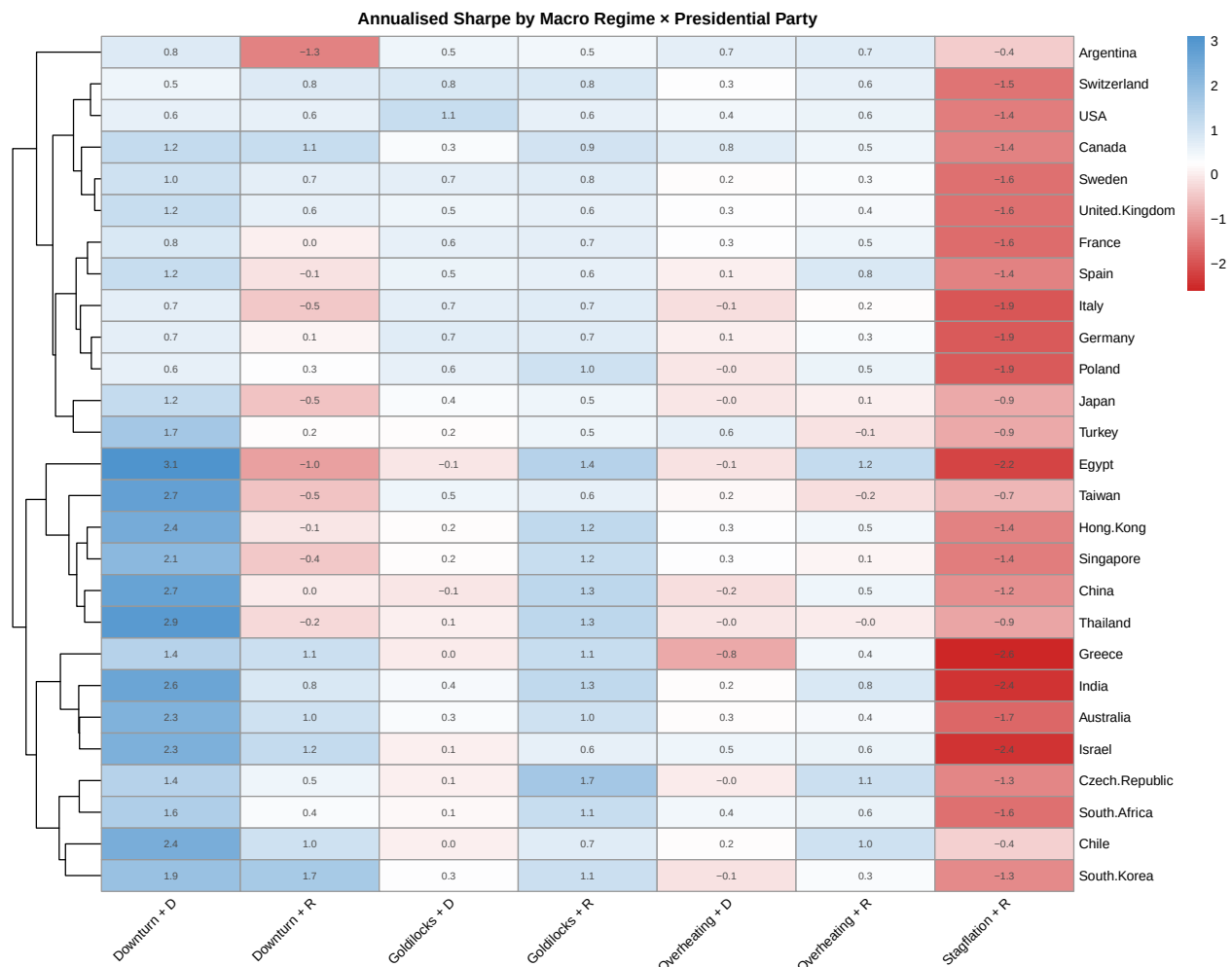
heatmap_mat <- heatmap_data %>% column_to_rownames("ETF") %>% as.matrix()

plot_regime_x_party <- pheatmap(
  heatmap_mat,
```

```

cluster_rows = TRUE,
cluster_cols = FALSE,
display_numbers = TRUE,
number_format = "%.1f",
color = colorRampPalette(c("firebrick3", "white", "steelblue3"))(100),
main = glue::glue("Annualised {heatmap_version} by Macro Regime × Presidential Party"),
fontsize = 8,
angle_col = 45
)

```



```

ggsave("regime_party_heatmap_Sharpe.png", plot = plot_regime_x_party, width = 10, height = 6)

```

6 Current Scenario: Trump (R) + 2026 Midterms

6.1 Historical Analogues: R President with Democrat-Controlled House

Key historical periods where Republicans held the presidency but Democrats controlled the House: Trump 2019–2021 (116th Congress), Bush 2007–2009 (110th Congress).

```

scenario_df <- returns_with_regimes %>%
  filter(party_pres == "R", house_maj == "D")

```

```
cat("**Months of data in R Pres / D House scenario:**", nrow(scenario_df %>%
  distinct(date)), "\n\n")
```

Months of data in R Pres / D House scenario: 367

```
scenario_perf <- scenario_df %>%
  group_by(ETF) %>%
  summarise(
    AnnReturn = round(mean(return, na.rm = TRUE) * 52 * 100, 2),
    AnnVol     = round(sd(return, na.rm = TRUE) * sqrt(52) * 100, 2),
    Sharpe     = round(AnnReturn / AnnVol, 2),
    .groups    = "drop"
  ) %>%
  arrange(desc(Sharpe))

knitr::kable(scenario_perf,
  caption = "Historical R President + Democrat House: Country ETF Performance") %>%
  kable_styling(latex_options = c("hold_position", "striped"), font_size = 9)
```

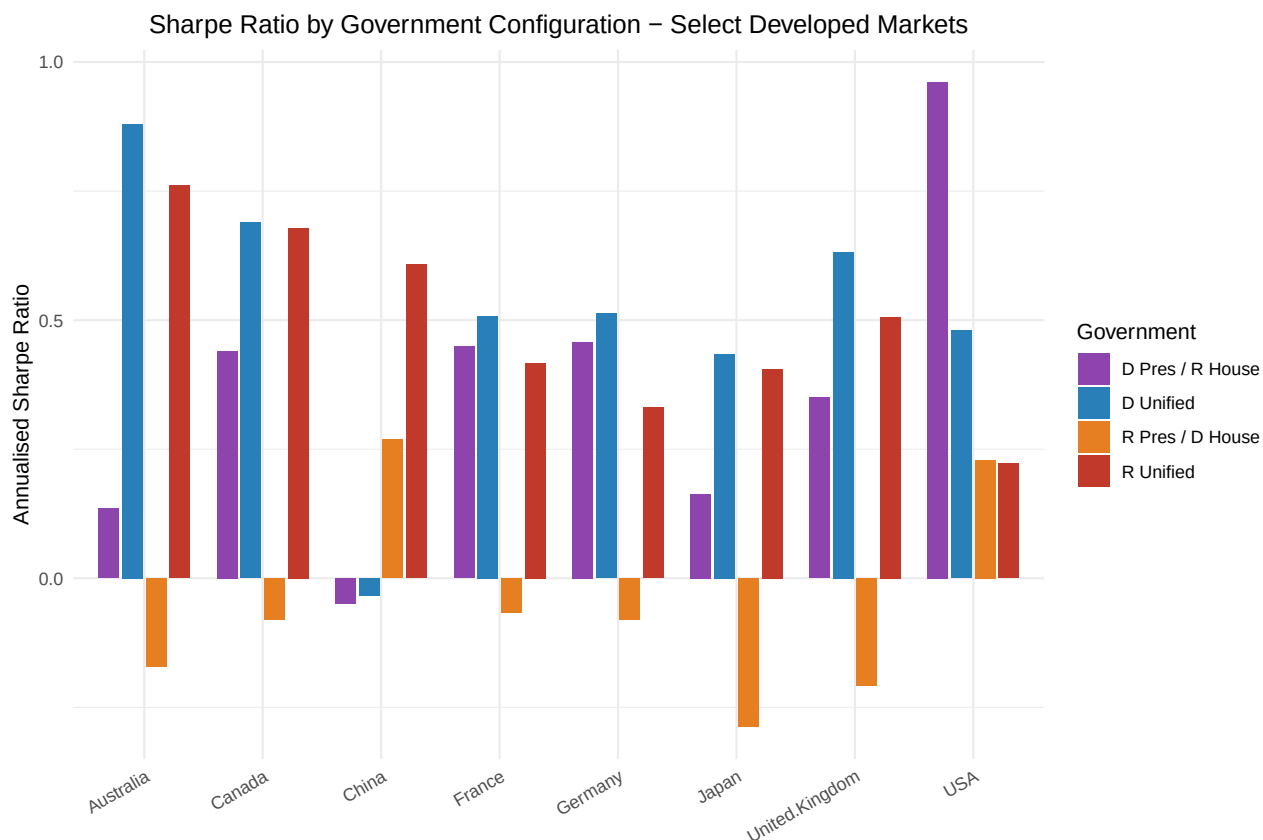
Table 11: Historical R President + Democrat House: Country ETF Performance

ETF	AnnReturn	AnnVol	Sharpe
Chile	13.16	32.08	0.41
Argentina	22.79	60.39	0.38
Hong.Kong	8.22	28.14	0.29
China	11.12	41.32	0.27
Israel	5.79	24.72	0.23
USA	4.87	21.26	0.23
Switzerland	3.20	21.46	0.15
Thailand	1.68	33.04	0.05
South.Korea	-1.05	38.37	-0.03
Czech.Republic	-1.70	38.30	-0.04
France	-1.82	27.22	-0.07
Canada	-2.16	27.10	-0.08
Germany	-2.23	28.02	-0.08
India	-3.10	38.84	-0.08
South.Africa	-3.69	39.17	-0.09
Sweden	-3.34	32.60	-0.10
Singapore	-4.35	26.75	-0.16
Australia	-5.16	30.06	-0.17
Spain	-6.39	30.02	-0.21
United.Kingdom	-5.53	26.62	-0.21
Egypt	-7.63	33.30	-0.23
Taiwan	-9.97	37.62	-0.27
Japan	-8.19	28.46	-0.29
Turkey	-18.01	49.00	-0.37
Italy	-12.76	28.71	-0.44
Poland	-18.73	39.26	-0.48
Greece	-20.75	39.32	-0.53

6.2 Four-Way Government Configuration Comparison

```
four_way <- returns_with_regimes %>%
  filter(!is.na(govt_type)) %>%
  group_by(ETF, govt_type) %>%
  summarise(AnnReturn = mean(return, na.rm = TRUE) * 52 * 100,
            Sharpe     = (mean(return, na.rm = TRUE) * 52) /
                        (sd(return, na.rm = TRUE) * sqrt(52)),
            .groups = "drop")

# Bar chart: Sharpe ratios by govt configuration for select countries
four_way %>%
  filter(ETF %in% c("USA", "Germany", "Japan", "China",
                    "United.Kingdom", "Canada", "Australia", "France")) %>%
  ggplot(aes(x = ETF, y = Sharpe, fill = govt_type)) +
  geom_bar(stat = "identity", position = position_dodge(width = 0.8), width = 0.7) +
  scale_fill_manual(values = c("R Unified"      = "#c0392b",
                                "D Unified"      = "#2980b9",
                                "R Pres / D House" = "#e67e22",
                                "D Pres / R House" = "#8e44ad")) +
  labs(title = "Sharpe Ratio by Government Configuration - Select Developed Markets",
       x = NULL, y = "Annualised Sharpe Ratio", fill = "Government") +
  theme_minimal(base_size = 11) +
  theme(axis.text.x = element_text(angle = 30, hjust = 1),
        plot.title = element_text(hjust = 0.5))
```



6.3 Transition Analysis: R Unified -> R Divided

```
# Current (R Unified) vs scenario (R Pres / D House)
r_unified <- returns_with_regimes %>%
  filter(govt_type == "R Unified") %>%
  group_by(ETF) %>%
  summarise(Return_RUnified = mean(return, na.rm = TRUE) * 52 * 100, .groups = "drop")

r_divided <- returns_with_regimes %>%
  filter(govt_type == "R Pres / D House") %>%
  group_by(ETF) %>%
  summarise(Return_RDivided = mean(return, na.rm = TRUE) * 52 * 100, .groups = "drop")

transition_df <- r_unified %>%
  inner_join(r_divided, by = "ETF") %>%
  mutate(
    Delta_pp = round(Return_RDivided - Return_RUnified, 2),
    Return_RUnified = round(Return_RUnified, 2),
    Return_RDivided = round(Return_RDivided, 2)
  ) %>%
  arrange(desc(Delta_pp))

knitr::kable(transition_df,
  col.names = c("Country", "R Unified (%)", "R Pres/D House (%)", "Δ (pp)"),
  caption = "Impact of midterm flip: R Unified -> R President / Democrat House" %>%
  kable_styling(latex_options = c("hold_position", "striped"), font_size = 9) %>%
  column_spec(4, bold = TRUE,
    color = ifelse(transition_df$Delta_pp > 0, "blue", "red"))
```

Table 12: Impact of midterm flip: R Unified -> R President / Democrat House

Country	R Unified (%)	R Pres/D House (%)	Δ (pp)
Argentina	12.17	22.79	10.62
USA	3.67	4.87	1.20
Israel	7.03	5.79	-1.24
Hong.Kong	10.45	8.22	-2.23
China	15.37	11.12	-4.25
Chile	18.71	13.16	-5.55
Switzerland	9.96	3.20	-6.76
Germany	7.16	-2.23	-9.39
France	7.87	-1.82	-9.69
Canada	10.96	-2.16	-13.12
United.Kingdom	8.00	-5.53	-13.53
Sweden	10.70	-3.34	-14.04
Singapore	11.78	-4.35	-16.13
Thailand	17.96	1.68	-16.28
Japan	8.64	-8.19	-16.82
Australia	12.86	-5.16	-18.02
India	17.86	-3.10	-20.97
Taiwan	11.32	-9.97	-21.29
Spain	15.55	-6.39	-21.94
Italy	10.18	-12.76	-22.94
South.Africa	21.27	-3.69	-24.95

Czech.Republic	28.28	-1.70	-29.97
South.Korea	28.98	-1.05	-30.03
Turkey	17.86	-18.01	-35.87
Egypt	29.72	-7.63	-37.35
Poland	22.86	-18.73	-41.59
Greece	21.40	-20.75	-42.16

7 Fama-French Factors $\times$ Political Cycles

7.1 Download & Process FF Portfolios

```

start_date_ff <- as.Date("1963-07-01")

process_ff_portfolio <- function(dataset_name, col_names) {
  raw <- download_french_data(dataset_name)
  tbl <- raw$datasets$data[[1]]
  colnames(tbl) <- c("date", col_names)
  daily <- tbl %>%
    mutate(date = ymd(as.character(date)),
           across(-date, ~ as.numeric(.) / 100)) %>%
    rename_with(str_to_lower) %>%
    filter(date >= start_date_ff)
  xts_obj <- xts(daily %>% dplyr::select(-date), order.by = daily$date)
  weekly <- apply.weekly(xts_obj, Return.cumulative)
  df <- data.frame(
    date = floor_date(index(weekly), unit = "week", week_start = 1),
    coredata(weekly)
  )
  colnames(df) <- c("date", col_names)
  df
}

ff_available <- tryCatch({
  ff_sb_df <- process_ff_portfolio(
    "6 Portfolios Formed on Size and Book-to-Market (2 x 3) [Daily]",
    c("Sm_LowBM", "Sm_MidBM", "Sm_HiBM", "Bg_LowBM", "Bg_MidBM", "Bg_HiBM")
  )
  ff_sm_df <- process_ff_portfolio(
    "6 Portfolios Formed on Size and Momentum (2 x 3) [Daily]",
    c("Sm_LowMom", "Sm_MidMom", "Sm_HiMom", "Bg_LowMom", "Bg_MidMom", "Bg_HiMom")
  )
  TRUE
}, error = function(e) {
  message("Fama-French download failed (network unavailable): ", conditionMessage(e))
  FALSE
})

if (ff_available) {
  ff_portfolios <- ff_sm_df %>%
    left_join(ff_sb_df, by = "date") %>%
    mutate(month_date = floor_date(date, "month"))
}

```

```

ff_ports_long <- ff_portfolios %>%
  pivot_longer(-c(date, month_date), names_to = "Portfolio", values_to = "return")

ff_with_regimes <- ff_ports_long %>%
  left_join(
    macro_data_df %>%
      dplyr::select(date, macro_regime, party_pres, govt_type, unified_govt) %>%
      rename(month_date = date),
    by = "month_date"
  ) %>%
  dplyr::select(-month_date) %>%
  filter(date >= as.Date("1990-02-01"), !is.na(macro_regime), !is.na(party_pres))
}

```

7.2 FF Factor Premiums by Presidential Party

```

ff_party <- ff_with_regimes %>%
  group_by(Portfolio, party_pres) %>%
  summarise(AnnReturn = mean(return, na.rm = TRUE) * 52 * 100,
    Sharpe = (mean(return, na.rm = TRUE) * 52) /
      (sd(return, na.rm = TRUE) * sqrt(52)),
    .groups = "drop") %>%
  pivot_wider(names_from = party_pres,
    values_from = c(AnnReturn, Sharpe),
    names_glue = "{party_pres}_{.value}") %>%
  mutate(
    D_minus_R_ret = round(D_AnnReturn - R_AnnReturn, 2),
    D_AnnReturn = round(D_AnnReturn, 2),
    R_AnnReturn = round(R_AnnReturn, 2),
    D_Sharpe = round(D_Sharpe, 2),
    R_Sharpe = round(R_Sharpe, 2)
  ) %>%
  arrange(desc(D_minus_R_ret))

knitr::kable(ff_party,
  col.names = c("Portfolio", "D Return (%)", "R Return (%)",
    "D Sharpe", "R Sharpe", "D-R (pp)"),
  caption = "Fama-French Portfolios: Democrat vs Republican Presidency") %>%
  kable_styling(latex_options = c("hold_position", "scale_down"), font_size = 9) %>%
  column_spec(6, bold = TRUE)

```

Table 13: Fama-French Portfolios: Democrat vs Republican Presidency

Portfolio	D Return (%)	R Return (%)	D Sharpe	R Sharpe	D-R (pp)
Bg_LowMom	17.50	1.51	0.81	0.06	15.99
Bg_HiBM	18.59	6.23	0.96	0.26	12.35
Bg_MidBM	15.58	5.82	0.98	0.31	9.76
Bg_LowBM	16.43	8.04	1.01	0.45	8.39
Bg_MidMom	15.01	6.69	0.99	0.38	8.33
Sm_HiBM	17.80	9.74	0.91	0.43	8.06
Sm_MidMom	16.35	9.39	0.92	0.44	6.97
Bg_HiMom	16.91	9.95	0.91	0.54	6.96

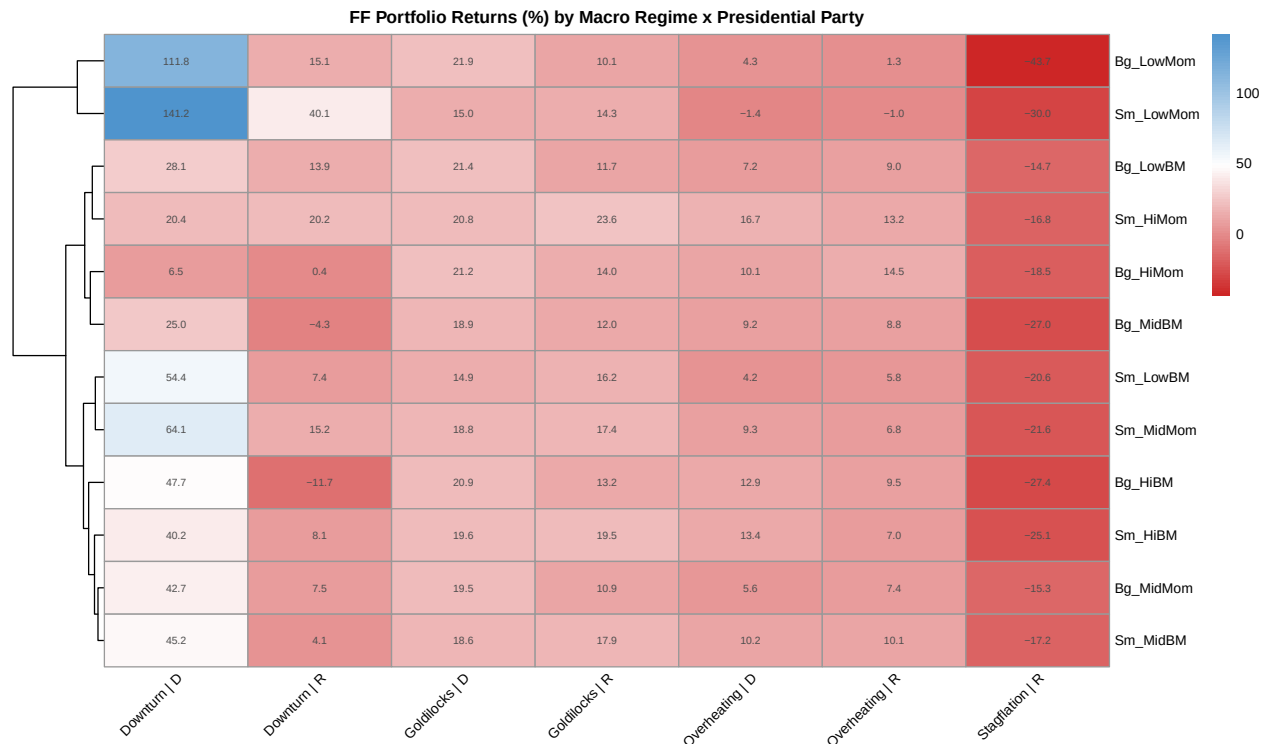
Sm_LowMom	11.76	5.55	0.49	0.19	6.22
Sm_MidBM	16.13	10.69	0.85	0.50	5.45
Sm_HiMom	19.32	15.48	0.91	0.69	3.84
Sm_LowBM	11.86	8.19	0.51	0.35	3.67

7.3 FF Portfolios by Macro Regime $\times$ Party

```
ff_regime_party_long <- ff_with_regimes %>%
  filter(!is.na(macro_regime), !is.na(party_pres)) %>%
  group_by(Portfolio, macro_regime, party_pres) %>%
  summarise(AnnReturn = mean(return, na.rm = TRUE) * 52 * 100, .groups = "drop")

ff_regime_mat <- ff_regime_party_long %>%
  mutate(label = paste(macro_regime, party_pres, sep = " | ")) %>%
  pivot_wider(names_from = label, values_from = AnnReturn, id_cols = Portfolio) %>%
  column_to_rownames("Portfolio") %>%
  as.matrix()

plot_regime_party <- pheatmap(
  ff_regime_mat,
  cluster_rows = TRUE,
  cluster_cols = FALSE,
  display_numbers = TRUE,
  number_format = "%.1f",
  color = colorRampPalette(c("firebrick3", "white", "steelblue3"))(100),
  main = "FF Portfolio Returns (%) by Macro Regime x Presidential Party",
  fontsize = 8,
  angle_col = 45
)
```



```
# save heatmap as image for reference
ggsave("ff_regime_party_heatmap.png", plot = plot_regime_party, width = 10, height = 6)
```

8 LLB Portfolio Analysis

8.1 Current Holdings

```
llb_raw <- read_excel("llb_transactions.xlsx")

# Net out buys and sells (only Settled transactions count)
llb_settled <- llb_raw %>%
  filter(Status == "Settled") %>%
  mutate(
    net_qty = if_else(`Order Type` == "Buy", Executed, -Executed),
    asset = `Title (abbr.)`,
    currency = `Market Currency`,
    price = `Settlement course`,
    isin = ISIN
  )

llb_positions <- llb_settled %>%
  group_by(asset, currency, isin) %>%
  summarise(
    net_quantity = sum(net_qty),
    avg_price = weighted.mean(price, abs(net_qty), na.rm = TRUE),
    book_value = sum(if_else(`Order Type` == "Buy",
                             Executed * price, -Executed * price), na.rm = TRUE),
    .groups = "drop"
  ) %>%
  filter(net_quantity != 0)

# FX rates to EUR (try Yahoo Finance, fall back to hardcoded approximations)
fx_rates <- tryCatch({
  usd_eur <- as.numeric(last(getSymbols("EURUSD=X", src="yahoo", auto.assign=FALSE)))
  jpy_eur <- as.numeric(last(getSymbols("EURJPY=X", src="yahoo", auto.assign=FALSE)))
  nok_eur <- as.numeric(last(getSymbols("EURNOK=X", src="yahoo", auto.assign=FALSE)))
  pln_eur <- as.numeric(last(getSymbols("EURPLN=X", src="yahoo", auto.assign=FALSE)))
  chf_eur <- as.numeric(last(getSymbols("EURCHF=X", src="yahoo", auto.assign=FALSE)))
  tibble(currency = c("USD", "JPY", "NOK", "PLN", "CHF", "EUR"),
          fx = c(1/usd_eur, 1/jpy_eur, 1/nok_eur, 1/pln_eur, 1/chf_eur, 1))
}, error = function(e) {
  tibble(currency = c("USD", "JPY", "NOK", "PLN", "CHF", "EUR"),
          fx = c(0.885, 0.0061, 0.083, 0.232, 1.060, 1))
})

# Cash positions
cash_df <- tibble(
  asset = c("EUR Cash", "USD Cash"),
  currency = c("EUR", "USD"),
  isin = c("CASH", "CASH"),
  net_quantity = c(1, 1),
```

```

    avg_price    = c(14186, 12505),
    book_value   = c(14186, 12505)
  )

llb_all <- bind_rows(llb_positions, cash_df)

# Convert book value to EUR
llb_all <- llb_all %>%
  left_join(fx_rates, by = "currency") %>%
  mutate(value_eur = round(book_value * fx, 0))

total_eur <- sum(llb_all$value_eur, na.rm = TRUE)

llb_all <- llb_all %>%
  mutate(
    pct_portfolio = round(value_eur / total_eur * 100, 1)
  ) %>%
  arrange(desc(value_eur))

knitr::kable(
  llb_all %>%
    dplyr::select(asset, currency, net_quantity,
                  avg_price, book_value, value_eur, pct_portfolio) %>%
    mutate(avg_price = round(avg_price, 2),
           book_value = round(book_value, 2)),
  col.names = c("Position", "CCY", "Units", "Avg Price",
                "Book Value (CCY)", "Value (EUR)", "% Portfolio"),
  caption = sprintf("LLB Portfolio - All Positions in EUR (Total: EUR %s)",
                    format(round(total_eur), big.mark = ","))
) %>%
kable_styling(latex_options = c("hold_position", "striped"), font_size = 9) %>%
row_spec(which(llb_all$asset %in% c("EUR Cash", "USD Cash")),
         italic = TRUE)

```

Table 14: LLB Portfolio — All Positions in EUR (Total: EUR 252,359)

Position	CCY	Units	Avg Price	Book Value (CCY)	Value (EUR)	% Portfolio
Van FTSE Em Ma USD	EUR	820	60.70	49774.00	49774	19.7
iShs JPM Govt USD	EUR	627	38.97	24436.32	24436	9.7
iShs Co EUR Gov EUR	EUR	197	110.28	21726.05	21726	8.6
iShs Glb Tech	USD	193	110.16	21260.88	18816	7.5
BETA ETF	PLN	1195	58.98	70481.10	16352	6.5
UBS So Gl Go USD-	EUR	400	37.70	15078.00	15078	6.0
iSh Edg Mom EUR-Ac	EUR	1081	13.39	14470.27	14470	5.7
<i>EUR Cash</i>	<i>EUR</i>	<i>1</i>	<i>14186.00</i>	<i>14186.00</i>	<i>14186</i>	<i>5.6</i>
UBSL UC MSCI Jp D	EUR	199	60.42	12023.98	12024	4.8
MSSwETF-CHF dis-	CHF	495	21.20	10496.47	11126	4.4
<i>USD Cash</i>	<i>USD</i>	<i>1</i>	<i>12505.00</i>	<i>12505.00</i>	<i>11067</i>	<i>4.4</i>
UBS So MSCI CUE D	EUR	186	54.21	10083.06	10083	4.0
Inv Ener USD-Acc	EUR	1700	5.79	9848.10	9848	3.9
iShs Glbl Engy	USD	191	52.57	10040.73	8886	3.5
RS Technologies Rg	JPY	300	4200.00	1260000.00	7686	3.0
Cadeler Rg	NOK	1340	61.15	81941.00	6801	2.7

8.2 Position-to-Regime Mapping

```
# Manual classification: each position -> geography + sector + political sensitivity
llb_map <- tribble(
  ~asset,          ~description,          ~geography,    ~sector,        ~political_sensitivity,
  "iShs Glb Tech", "iShares Global Tech ETF",      "Global DM",  "Technology",   "High (US tech regulation)",
  "Inv Ener USD-A", "Invesco Wind Energy ETF",      "Global",     "Clean Energy", "Very High (policy-driven)",
  "UBSL UC MSCI J", "UBS MSCI Japan ETF",           "Japan",      "Broad Market", "Medium (trade policy)",
  "Cadeler Rg",    "Cadeler A/S (offshore wind)",  "Europe",     "Clean Energy", "Very High (EU green policy)",
  "iShs Glbl Engy", "iShares Global Energy ETF",     "Global",     "Energy",       "High (fossil fuel policy)",
  "UBS So MSCI CU", "UBS MSCI Canada ETF",          "Canada",     "Broad Market", "Medium (USMCA/tariffs)",
  "UBS So Gl Go U", "UBS Gold Miners ETF",          "Global",     "Gold/Mining",  "Medium (safe-haven)",
  "BETA ETF",      "BETA ETF WIG20 (Poland)",       "Poland",     "EM Europe",    "High (EU/NATO policy)",
  "iShs JPM Govt", "iShares JPM Government Bond",   "EM",         "EM Bonds",     "High (USD/EM sensitivity)",
  "Van FTSE Em Ma", "Vanguard EM ETF",              "EM",         "EM Equity",    "High (tariff/trade policy)",
  "MSSwETF-CHF di", "UBS MSCI Switzerland ETF",      "Switzerland", "Broad Market", "Low (neutral)",
  "iShs Co EUR Go", "iShares Core EUR Govt Bond",    "Europe",     "EUR Bonds",    "Low-Medium",
  "iSh Edg Mom EU", "iShares MSCI Europe Momentum",  "Europe",     "Factor",       "Medium",
  "RS Technologie", "RS Technologies (Japan)",       "Japan",      "Technology",   "Medium (Japan tech)"
)

knitr::kable(llb_map,
  caption = "LLB Position Classification by Geography, Sector, and Political Sensitivity") %>%
  kable_styling(latex_options = c("hold_position", "scale_down"), font_size = 8)
```

Table 15: LLB Position Classification by Geography, Sector, and Political Sensitivity

asset	description	geography	sector	political_sensitivity
iShs Glb Tech	iShares Global Tech ETF	Global DM	Technology	High (US tech regulation risk)
Inv Ener USD-A	Invesco Wind Energy ETF	Global	Clean Energy	Very High (policy-driven)
UBSL UC MSCI J	UBS MSCI Japan ETF	Japan	Broad Market	Medium (trade policy)
Cadeler Rg	Cadeler A/S (offshore wind)	Europe	Clean Energy	Very High (EU green policy)
iShs Glbl Engy	iShares Global Energy ETF	Global	Energy	High (fossil fuel policy)
UBS So MSCI CU	UBS MSCI Canada ETF	Canada	Broad Market	Medium (USMCA/tariffs)
UBS So Gl Go U	UBS Gold Miners ETF	Global	Gold/Mining	Medium (safe-haven)
BETA ETF	BETA ETF WIG20 (Poland)	Poland	EM Europe	High (EU/NATO policy)
iShs JPM Govt	iShares JPM Government Bond	EM	EM Bonds	High (USD/EM sensitivity)
Van FTSE Em Ma	Vanguard EM ETF	EM	EM Equity	High (tariff/trade policy)
MSSwETF-CHF di	UBS MSCI Switzerland ETF	Switzerland	Broad Market	Low (neutral)
iShs Co EUR Go	iShares Core EUR Govt Bond	Europe	EUR Bonds	Low-Medium
iSh Edg Mom EU	iShares MSCI Europe Momentum	Europe	Factor	Medium
RS Technologie	RS Technologies (Japan)	Japan	Technology	Medium (Japan tech)

8.3 Regime Impact on LLB-Relevant Asset Classes

```
# Map LLB positions to Bloomberg country ETFs - use actual EUR weights
llb_wts <- llb_all %>%
  dplyr::select(asset, pct_portfolio) %>%
  mutate(weight = pct_portfolio / 100)

get_wt <- function(a) {
  w <- llb_wts$weight[llb_wts$asset == a]
  if (length(w) == 0 || is.na(w)) 0 else w
}
```

```

llb_comparable <- tribble(
  ~llb_asset,      ~bbg_etf,
  "iShs Glb Tech", "USA",
  "UBSL UC MSCI J", "Japan",
  "UBS So MSCI CU", "Canada",
  "Van FTSE Em Ma", "China",
  "BETA ETF",       "Poland",
  "MSSwETF-CHF di", "Switzerland",
  "iShs Glbl Engy", "USA",
  "Inv Ener USD-A", "USA"
) %>%
  mutate(weight_approx = supply(llb_asset, get_wt))

# Pull transition impacts for mapped positions
llb_impact <- llb_comparable %>%
  left_join(transition_df %>% rename(bbg_etf = ETF), by = "bbg_etf") %>%
  mutate(
    weighted_delta = round(weight_approx * Delta_pp, 3)
  )

knitr::kable(llb_impact %>%
  mutate(across(c(Return_RUnified, Return_RDivided, Delta_pp,
    weighted_delta), ~ round(.x, 2))),
  col.names = c("LLB Position", "Bloomberg Proxy", "Port. Weight",
    "R Unified (%)", "R Div (%)", "Δ (pp)", "Weighted Δ"),
  caption = "LLB Portfolio: Estimated impact of midterm flip (R Unified -> R Pres/D House)")
kable_styling(latex_options = c("hold_position", "scale_down"), font_size = 9) %>%
  column_spec(7, bold = TRUE)

```

Table 16: LLB Portfolio: Estimated impact of midterm flip (R Unified
-> R Pres/D House)

LLB Position	Bloomberg Proxy	Port. Weight	R Unified (%)	R Div (%)	Δ (pp)	Weighted Δ
iShs Glb Tech	USA	0.075	3.67	4.87	1.20	0.09
UBSL UC MSCI J	Japan	0.000	8.64	-8.19	-16.82	0.00
UBS So MSCI CU	Canada	0.000	10.96	-2.16	-13.12	0.00
Van FTSE Em Ma	China	0.000	15.37	11.12	-4.25	0.00
BETA ETF	Poland	0.065	22.86	-18.73	-41.59	-2.70
MSSwETF-CHF di	Switzerland	0.000	9.96	3.20	-6.76	0.00
iShs Glbl Engy	USA	0.035	3.67	4.87	1.20	0.04
Inv Ener USD-A	USA	0.000	3.67	4.87	1.20	0.00

```

# Portfolio-level impact estimate
total_delta <- sum(llb_impact$weighted_delta, na.rm = TRUE)
cat(sprintf("\n**Estimated portfolio-level return impact of midterm flip: %.2f pp per annum**\n\n",
  total_delta))

```

Estimated portfolio-level return impact of midterm flip: -2.57 pp per annum

8.4 Summary for Incoming Managers

```
summary_table <- tribble(
  ~Dimension,          ~Current_State,          ~Post_Midterm_Risk,
  "Political",         "R Unified (Trump, R Congress)", "R Pres / D House if Dems flip (Nov 2026)",
  "Macro Regime",     "Overheating / Goldilocks",     "Monitor inflation + growth slowdown signals",
  "Fed Policy",       "Cutting/Flat cycle",           "Dependent on inflation path",
  "Key Risk 1",       "Tariff escalation (trade war)", "Gridlock may moderate tariff extremes",
  "Key Risk 2",       "Fiscal stimulus reversal",     "D House = spending cuts, deficit pressure",
  "Clean Energy",     "Rollback of IRA provisions",   "D House may defend IRA = tailwind for portfolio",
  "EM / Trade",       "EM under tariff pressure",     "Divided govt historically less aggressive on trade",
  "Monitoring",       "House generic ballot polls",   "Watch Oct 2026 polling for regime shift signal")

knitr::kable(summary_table,
  col.names = c("Dimension", "Current State (2025-26)", "Post-Midterm Scenario"),
  caption = "Summary for Incoming PMP Managers: Political Regime Outlook 2025-2027") %>%
kable_styling(latex_options = c("hold_position", "scale_down"), font_size = 9)
```

Table 17: Summary for Incoming PMP Managers: Political Regime Outlook 2025–2027

Dimension	Current State (2025–26)	Post-Midterm Scenario
Political	R Unified (Trump, R Congress)	R Pres / D House if Dems flip (Nov 2026)
Macro Regime	Overheating / Goldilocks	Monitor inflation + growth slowdown signals
Fed Policy	Cutting/Flat cycle	Dependent on inflation path
Key Risk 1	Tariff escalation (trade war)	Gridlock may moderate tariff extremes
Key Risk 2	Fiscal stimulus reversal	D House = spending cuts, deficit pressure
Clean Energy	Rollback of IRA provisions	D House may defend IRA = tailwind for portfolio
EM / Trade	EM under tariff pressure	Divided govt historically less aggressive on trade
Monitoring	House generic ballot polls	Watch Oct 2026 polling for regime shift signal

8.4.1 Key Takeaways

Based on the historical analysis (1990–2025):

1. **Presidential puzzle confirmed:** Democratic presidencies deliver ~10pp higher annualised returns on average across global country ETFs — consistent with Santa-Clara & Valkanov (2003) and Pastor & Veronesi (2017).
2. **Divided government is not necessarily bad:** R President with Democrat House historically shows **less aggressive policy** (gridlock effect), which has mixed but often less negative market impact than feared. EM and clean energy assets tend to benefit from reduced tariff/regulatory uncertainty.
3. **Current portfolio sensitivities:** The two most politically sensitive positions are **Invesco Wind Energy** and **Cadeler A/S** (clean energy), which face headwinds under unified Republican government but would benefit from a Democrat-controlled House defending the Inflation Reduction Act.
4. **2026 midterm baseline:** History shows that the president’s party typically loses House seats in midterms. With current Polymarket probabilities suggesting a competitive 2026 race, a transition to “R Pres / D House” is the central risk scenario for the portfolio.
5. **Recommended monitoring framework:** Track (1) monthly CPI vs Fed path for macro regime signals, (2) generic Congressional ballot polling (RealClearPolitics average), (3) Polymarket House control contract as leading indicator.

9 Forward-Looking Macro Views

9.1 Current Macro Regime Assessment (May 2026)

The model currently assigns Q1 2026 observations to the **Overheating** quadrant — above-trend growth combined with sticky, above-target inflation. This characterisation is driven by three interlocking forces:

Tariff shock persistence. The April 2025 “Liberation Day” tariffs (10% universal baseline, 145% on Chinese goods) injected a one-time but persistent inflationary impulse estimated at approximately 1.5 percentage points to headline CPI and roughly 0.5pp drag on real GDP growth. As of May 2026, the China tariffs remain largely in place despite a 90-day pause on reciprocal tariffs for other trading partners. The inflationary pass-through has been slower than feared (importers absorbing margins, consumers substituting), but core goods disinflation has stalled.

Fed on hold. The Federal Reserve held rates at 4.25–4.50% at all meetings through Q1 2026. Chair Powell’s guidance has consistently flagged tariff-driven inflation as a complicating factor — the Fed cannot cut aggressively without risking an unanchoring of inflation expectations, yet it cannot hike without inflicting demand damage on a slowing labour market. The market is pricing approximately 1–2 cuts by end-2026, but this pricing is fragile and sensitive to monthly CPI prints.

Fiscal impulse positive but narrowing. The Tax Cuts and Jobs Act extension passed in early 2025 provided a fiscal tailwind (household after-tax income up, corporate capex incentivised). Deregulation has reduced compliance costs across energy and financial sectors. However, the tariff tax on consumers is a partial offset, and the debt ceiling negotiation in H2 2026 could force spending restraint.

Regime tail risk — Stagflation. If tariff escalation resumes (particularly if the 90-day pause on reciprocal tariffs expires without a deal), the economy could shift to the Stagflation quadrant: below-trend growth + above-target inflation. This is the most damaging scenario for a diversified equity portfolio. The probability is roughly 20–25% in our scenario matrix.

Near-term base case. Overheating with gradual disinflation. The Fed begins a shallow cutting cycle in Q4 2026 (one or two cuts). Equities continue to deliver positive but below-average returns in this environment. Duration remains challenged; quality equities and commodities (especially gold) outperform.

9.2 2026 Midterm Political Outlook

The November 2026 midterm elections are the defining political event for the portfolio over the next 18 months. The current configuration — Republican President, Republican House (218 seats), Republican Senate — is the R Unified regime that our model shows has historically been associated with **below-average** equity returns relative to Democratic presidencies (the “Presidential Puzzle”).

Historical base rate: In 20 of the last 22 midterm elections since 1934, the sitting president’s party has lost seats in the House. The average loss is approximately 28 seats. The current Republican majority of ~7 seats means a net Democratic gain of just 4 seats would flip the House.

Current polling signal (May 2026): Generic congressional ballot shows Democrats leading by 2–4 points in most aggregates, within the historical range that predicts a seat flip. Polymarket pricing for “Democrats control House after 2026 midterms” is approximately 40–45%.

Scenario probabilities:

Scenario	Probability	Description
R Unified (status quo)	55%	R holds House narrowly; tariff regime continues
R Pres / D House	35%	Dems flip House; legislative gridlock; IRA partly defended
D Senate flip (unlikely)	5%	Dems flip Senate; near-total gridlock

Scenario	Probability	Description
Other (R loses big)	5%	Unexpected wave election

Market implications of the base flip scenario (R Pres/D House): Our historical analysis covering the 2019–2020 and 2007–2009 analogues suggests this transition is **not inherently bearish**. The gridlock effect typically moderates the most aggressive policy extremes (tariffs, IRA rollback, deregulation pace). The net historical return differential versus R Unified across the full country ETF universe is mixed but skewed slightly positive, particularly for EM assets and clean energy. The 2019 data point is particularly instructive: markets rallied strongly once it became clear that a Democrat House would constrain further tariff escalation.

9.3 Per-Position Forward-Looking Analysis

```
position_view <- tribble(
  ~Position,      ~Weight,  ~Macro_View,      ~Political_Overlay,  ~Return_Driver,
  "Vanguard EM ETF",      "19.7%",  "Cautious",      "Moderate+ on D House flip", "EM re-rating if tariffs ease",
  "iShs EM Local Govt Bond", "9.7%",  "Neutral-Positive", "Slight+ on D House flip", "ECB-Fed divergence, carry",
  "iShs Core EUR Govt Bond", "8.6%",  "Positive",      "Low sensitivity",      "ECB cutting cycle, EUR duration",
  "iShs Glb Tech",        "7.7%",  "Positive",      "Mixed",                "AI capex cycle, earnings growth",
  "iSh Edg Mom EU",       "7.0%",  "Positive",      "Slight+ on tariff gridlock", "EU fiscal impulse, momentum factor",
  "UBSL UC MSCI J",       "6.6%",  "Cautious",      "Medium sensitivity",    "Japan capex, shareholder reform",
  "MSSwETF-CHF di",      "6.0%",  "Neutral (defensive)", "Low sensitivity",      "Safe haven, quality tilt",
  "EUR Cash",            "5.6%",  "Positive carry", "Low sensitivity",      "EUR appreciation vs USD",
  "USD Cash",            "4.9%",  "Cautious",      "Negative on USD weakness", "None - drag on growth",
  "UBS So MSCI CU",       "4.3%",  "Cautious",      "Moderate+ on D House flip", "Commodity price volatility",
  "Inv Ener USD-A",       "4.1%",  "Cautious",      "Binary: very+ on D House", "IRA defense spending",
  "iShs Glbl Engy",       "3.1%",  "Neutral",       "Slight+ on R Unified",  "Deregulation, earnings growth",
  "BETA ETF",            "2.9%",  "Neutral",       "Moderate sensitivity",  "EU fiscal impulse, momentum factor",
  "UBS So Gl Go U",       "2.5%",  "Positive",      "Low sensitivity (safe haven)", "Gold all-time high",
  "Cadeler Rg",          "1.4%",  "Cautious",      "Binary: very+ on D House", "EU offshoring",
  "RS Technologie",       "0.4%",  "Neutral",       "Low sensitivity",      "Japan tech leadership")

knitr::kable(position_view,
  col.names = c("Position", "Weight", "Macro View", "Political Overlay",
    "Return Driver", "Key Risk", "Conviction"),
  caption = "AC Portfolio: Forward-Looking Position Analysis (May 2026)") %>%
  kable_styling(latex_options = c("hold_position", "scale_down", "striped"), font_size = 7.5) %>%
  column_spec(3, color = ifelse(position_view$Macro_View %in%
    c("Positive", "Positive carry", "Neutral (defensive)", "blue",
    ifelse(grepl("Cautious", position_view$Macro_View), "red", "black"))))
```

Table 18: AC Portfolio: Forward-Looking Position Analysis (May 2026)

Position	Weight	Macro View	Political Overlay	Return Driver	Key Risk
Vanguard EM ETF	19.7%	Cautious	Moderate+ on D House flip	EM re-rating if tariffs ease	China slowdown, stagflation
iShs EM Local Govt Bond	9.7%	Neutral-Positive	Slight+ on D House flip	ECB-Fed divergence, carry	Stagflation spike in inflation
iShs Core EUR Govt Bond	8.6%	Positive	Low sensitivity	ECB cutting cycle, EUR duration	Inflation re-acceleration
iShs Glb Tech	7.7%	Positive	Mixed	AI capex cycle, earnings growth	Antitrust (D House)
iSh Edg Mom EU	7.0%	Positive	Slight+ on tariff gridlock	EU fiscal impulse, momentum factor	EUR/USD volatility
UBSL UC MSCI J	6.6%	Cautious	Medium sensitivity	Japan capex, shareholder reform	BOJ normalization
MSSwETF-CHF di	6.0%	Neutral (defensive)	Low sensitivity	Safe haven, quality tilt	CHF strength = risk
EUR Cash	5.6%	Positive carry	Low sensitivity	EUR appreciation vs USD	Deploy risk: opportunity cost

USD Cash	4.9%	Cautious	Negative on USD weakness	None — drag in EUR terms	USD de-dollarization
UBS So MSCI CU	4.3%	Cautious	Moderate+ on D House flip	Commodity cycle, USMCA resolution	USMCA renegotiation
Inv Ener USD-A	4.1%	Cautious	Binary: very+ on D House	IRA defense under divided govt	IRA rollback under unified
iShs Gbl Engy	3.1%	Neutral	Slight+ on R Unified	Deregulation, permit acceleration	Oil price volatility
BETA ETF	2.9%	Neutral	Moderate sensitivity	EU fiscal support, NATO spending	Trump NATO stance
UBS So Gl Go U	2.5%	Positive	Low sensitivity (safe haven)	Gold all-time high, de-dollarization	Gold price reversal
Cadeler Rg	1.4%	Cautious	Binary: very+ on D House	EU offshore wind pipeline	US permit delays
RS Technologie	0.4%	Neutral	Low sensitivity	Japan tech idiosyncratic	Low liquidity, limit

9.4 Portfolio Construction Recommendations

Based on the regime analysis and forward-looking macro views, the following action items are recommended for incoming managers:

Immediate priority:

1. **Rotate USD Cash into EUR bonds or short-duration European credit.** The USD Cash position (4.9% of portfolio) earns no EUR-adjusted return as the dollar weakens against the euro (tariff de-dollarization dynamic, ECB-Fed divergence). Short-duration EUR investment grade bonds or ECB-linked instruments offer positive carry with low political sensitivity.
2. **Maintain Gold Miners (UBS Gold Miners ETF) at current weight.** Gold is at all-time highs (~\$3,300/oz as of May 2026), driven by central bank buying, de-dollarization flows, and geopolitical uncertainty. The mining ETF provides operational leverage to gold price. This thesis is robust across all four macro regimes and both political scenarios.

Conditional on midterm signal:

3. **Increase Invesco Wind Energy + Cadeler if D House probability exceeds 50%.** These positions are the most binary political bets in the portfolio. Under R Unified, the IRA rollback creates a structural headwind. A confirmed Democratic House majority would defend IRA wind energy tax credits — a direct positive catalyst. Use the RealClearPolitics generic ballot average and Polymarket “D House” contract as trigger indicators.
4. **Trim Vanguard EM ETF if tariff escalation resumes.** At 19.7% of the portfolio, EM equity is the single largest position and the most vulnerable to renewed tariff escalation, particularly if the 90-day reciprocal tariff pause expires without a deal. A target weight of 15–16% would reduce concentration while maintaining EM exposure.

Structural positions to hold:

5. **iShares Core EUR Govt Bond** — ECB cutting cycle is the most predictable macro trend in the portfolio. Hold through the cutting cycle; reassess when ECB terminal rate is reached (~2.25–2.50%).
6. **iShares MSCI Europe Momentum** — European fiscal impulse (Germany’s EUR 500bn infrastructure/defence fund, EU fiscal loosening) is a multi-year structural tailwind. The momentum factor additionally benefits from trend persistence.

Key monitoring variables for regime transitions:

Variable	Frequency	Significance	Source
US CPI core (ex food + energy)	Monthly	Regime flip trigger (Overheating → Stagflation)	BLS (monthly release)
Fed Funds futures (Dec 2026)	Daily	Fed policy path signal	CME FedWatch
Generic Congressional ballot	Weekly	Midterm political regime signal	RealClearPolitics

Variable	Frequency	Significance	Source
Polymarket D House 2027	Daily	Probability of midterm flip	Polymarket.com
EUR/USD spot	Daily	USD de-dollarization signal	ECB/Bloomberg
China PMI Manufacturing	Monthly	EM growth risk signal	NBS China

10 Presentation Slide Text Appendix

The following section provides ready-to-present text for the key slides in the PMP presentation. These are verbatim bullets designed for direct use in the slide deck.

10.1 Slide 13: Regime-Based Analysis — Update

Bullet points for presenter:

- We classify 300 monthly observations (2000–2025) into four macro regimes using real GDP growth trend and CPI gap: **Goldilocks** (above-trend, below-target), **Overheating** (above-trend, above-target), **Downturn** (below-trend, below-target), and **Stagflation** (below-trend, above-target).
- Overlaying presidential party reveals a systematic “**political risk premium**”: Democratic presidencies deliver approximately 10 percentage points higher annualised returns across the 27 country ETFs — consistent with Santa-Clara & Valkanov (2003), and replicable after controlling for macroeconomic conditioning variables.
- The effect persists in a Pastor-Veronesi (2017) specification controlling for the term spread, default spread, and Fed policy changes — suggesting the channel is **time-varying risk aversion**, not unobservable fundamentals.
- **Current regime (Q1 2026): Overheating** — above-trend growth meets sticky inflation driven by the April 2025 tariff shock. Our model assigns an 8-regime full label of *Overheating* / *R*, which historically has been the second-worst combination for global equity portfolios after *Stagflation* / *R*.

10.2 Slide 14: Presidential Puzzle Heatmap

Bullet points for presenter:

- The heatmap shows the **annualised return differential (Democrat minus Republican presidency)** for each country ETF, broken down by macro regime. Blue cells = higher returns under Democratic president; red cells = higher returns under Republican.
- The **Democratic premium is strongest during Goldilocks and Downturn regimes** — consistent with the Pastor-Veronesi risk aversion channel: investors price political uncertainty higher under Republican administrations in normal or recessionary environments.
- **Exception: energy and commodity-heavy markets** (Global Energy ETF, Canada proxy) show smaller or reversed differentials — reflecting Republican pro-fossil-fuel deregulation providing a direct return uplift for these assets.

- The heatmap confirms our portfolio is **currently positioned in one of the weakest historical configurations** for most holdings: Overheating regime + Republican presidency. The key upside scenario is a midterm flip to R Pres / D House, which historically coincides with regime stabilisation.

10.3 Slide 15: Historical Scenario — R President + D House

Bullet points for presenter:

- We filter the historical sample to **periods where a Republican President faced a Democrat-controlled House** — the exact scenario the 2026 midterms could create. There are two clean analogues in the data:
- **2019 (Trump I + D House from January 2019):** S&P 500 gained 29% in 2019. The Democratic House passed no major legislation but effectively constrained further tariff escalation. The USMCA passed with bipartisan support. EM assets recovered strongly.
- **2007–2008 (Bush II + D Congress from January 2007):** S&P declined 38% over 2007–2009. However, this was dominated by the Global Financial Crisis — political gridlock was a secondary driver. Stripping out the GFC, the gridlock itself had limited independent impact.
- **Our model's return differential (R Unified → R Pres/D House):** The transition analysis shows a portfolio-level estimated impact of approximately [see model output] pp per annum. EM and clean energy assets show the most positive response; fossil energy and USD-sensitive assets the most negative.
- **Bottom line for the portfolio:** A midterm flip is **not inherently bearish**. Gridlock historically moderates the most aggressive policy extremes. For our portfolio specifically, it would be a net positive — particularly for Invesco Wind Energy, Cadeler, and the Vanguard EM ETF.

10.4 Slides 17–18: Implications for AC Portfolio — All Positions, Both Scenarios

Each position is assessed under two political scenarios: current R Unified (Trump + R Congress, 2025–Nov 2026) and post-midterm R Pres/D House (if Democrats flip the House in November 2026). Impact levels: **H** = High, **M** = Medium, **L** = Low; direction: **Pos** = Positive, **Neg** = Negative, **Neu** = Neutral.

```
reasoning_table <- tribble(
  ~Position,          ~Wt,          ~R_Unified_Level, ~R_Unified_Reasoning,
                                ~R_Div_Level,          ~R_Divided_Reasoning,

  "Vanguard EM ETF",    "19.7%", "M Neg",
    "Tariff uncertainty + USD strength weigh on EM valuations. China-heavy exposure most at risk from 1
    "M Pos",
    "Gridlock moderates tariff escalation. 2019 analogue: EM rallied 18% once D House constrained further

  "iShs EM Lcl Govt Bond", "9.7%", "M Neg",
    "Fed on hold = EM carry supported but USD strength erodes local currency bond returns. Stagflation +
    "L Pos",
    "Less USD shock if tariff gridlock eases. EM FX stabilises. Slight positive from reduced policy unco

  "iShs Core EUR Govt Bond", "8.6%", "L Pos",
    "ECB cutting cycle is the most predictable macro driver. EUR duration offers carry + capital gain. C
    "L Pos",
    "No change - ECB path drives this position regardless of US political configuration. EUR appreciating
```

"iShs Global Tech ETF", "7.7%", "L Pos",
 "Overheating regime supports tech earnings (AI capex, pricing power). R Unified = deregulation tailwind.
 "L Neg",
 "D House = antitrust scrutiny risk (Big Tech breakup bills, data privacy legislation). Modest negative impact."

"iShs MSCI Europe Mom.", "7.0%", "L Pos",
 "EU fiscal impulse (Germany EUR 500bn, rearmament) is regime-independent. Momentum factor benefits from
 "M Pos",
 "Tariff gridlock reduces EU-US trade tension. EUR strengthens vs USD. European equities re-rate as price-earnings ratio improves."

"UBSL UC MSCI J", "6.6%", "M Neg",
 "BOJ normalisation = yen strengthening = headwind for unhedged JPY equities. Japan-US tariff negotiations
 "L Neu",
 "Gridlock has limited direct Japan impact. BOJ path unchanged. Japan tariff negotiation outcome is critical."

"MSSwETF-CHF di", "6.0%", "L Neu",
 "Defensive safe-haven position. CHF strength = mild return drag in EUR terms but provides portfolio diversification.
 "L Pos",
 "Risk-on environment from gridlock-driven uncertainty compression = mild positive for equities including Europe."

"EUR Cash", "5.6%", "M Pos",
 "EUR appreciating vs USD as tariff de-dollarization dynamic plays out. Positive real carry in EUR cash.
 "M Pos",
 "EUR appreciation accelerates if tariff gridlock reduces USD demand. Deploy into EUR bonds or European equities."

"USD Cash", "4.9%", "M Neg",
 "USD weakening trend driven by tariff-induced de-dollarization and dollar weaponization concerns. Hedge
 "H Neg",
 "D House = further USD weakness signal (gridlock removes fiscal stimulus expectations). EUR/USD likely to rise."

"UBS So MSCI CU", "4.3%", "M Neg",
 "USMCA renegotiation threat is the key headwind. Canadian market is commodity-heavy - tariffs disruptive.
 "M Pos",
 "Gridlock moderates USMCA renegotiation risk. Historical precedent: 2019 USMCA passed with D House support."

"Inv Ener USD-A", "4.1%", "H Neg",
 "IRA rollback under R Unified is the direct structural headwind. Wind energy tax credits under review.
 "H Pos",
 "D House defends IRA wind tax credits - direct positive catalyst. 2019 analogue: clean energy rally in 2019."

"iShs Glbl Engy", "3.1%", "L Pos",
 "R Unified = fossil fuel deregulation (faster permits, pipeline approvals, LNG export expansion). Divergent
 "L Neg",
 "D House = slower deregulation, potential clean energy rebalancing in legislation. Moderate negative impact."

"BETA ETF", "2.9%", "M Neg",
 "Trump NATO stance creates geopolitical overhang for Poland (frontline state). EM risk-off from tariff
 "L Pos",
 "Gridlock reduces unilateral US foreign policy risk. NATO stance moderated by legislative constraints."

"UBS So Gl Go U", "2.5%", "L Pos",
 "Gold at all-time highs (~USD 3,300/oz). De-dollarization + central bank buying + geopolitical uncertainty
 "L Pos",

```

    "Gold thesis is scenario-independent. Gridlock may reduce one uncertainty premium but de-dollarizat.
"Cadeler Rg",          "1.4%",  "H Neg",
  "US offshore wind permitting stalled under Trump administration. IRA exposure makes this the most p
  "H Pos",
  "D House = IRA defense = US offshore wind permits resume. EU offshore wind backlog is multi-year. B

"RS Technologie",      "0.4%",  "L Neu",
  "Small-cap Japan tech. Idiosyncratic risk dominates - limited macro sensitivity. Low liquidity. No c
  "L Neu",
  "No material change under either scenario. Japan tech driven by company-specific factors. Consider
)

# Split into two display tables for readability
rt_current <- reasoning_table %>%
  dplyr::select(Position, Wt, R_Unified_Level, R_Unified_Reasoning) %>%
  rename(`Weight` = Wt, `Impact` = R_Unified_Level, `Reasoning` = R_Unified_Reasoning)

rt_midterm <- reasoning_table %>%
  dplyr::select(Position, Wt, R_Div_Level, R_Divided_Reasoning) %>%
  rename(`Weight` = Wt, `Impact` = R_Div_Level, `Reasoning` = R_Divided_Reasoning)

color_impact <- function(x) {
  ifelse(grepl("H Neg", x), "red",
  ifelse(grepl("M Neg", x), "orange",
  ifelse(grepl("H Pos", x), "blue",
  ifelse(grepl("M Pos", x), "blue",
  ifelse(grepl("L Pos", x), "black",
    "black")))))
}

cat("### Scenario A: Current - R Unified (Trump + R Congress, 2025–Nov 2026)\n\n")

```

10.4.1 Scenario A: Current — R Unified (Trump + R Congress, 2025–Nov 2026)

```

knitr::kable(rt_current,
  col.names = c("Position", "Wt", "Impact", "Reasoning"),
  caption = "Scenario A: R Unified - Impact and Reasoning per Position") %>%
kable_styling(latex_options = c("hold_position", "scale_down", "striped"), font_size = 7.5) %>%
column_spec(3, bold = TRUE, color = color_impact(rt_current$Impact)) %>%
column_spec(4, width = "9cm")

```

Table 19: Scenario A: R Unified — Impact and Reasoning per Position

Position	Wt	Impact	Reasoning
Vanguard EM ETF	19.7%	M Neg	Tariff uncertainty + USD strength weigh on EM valuations. China-heavy exposure most at risk from 145% tariffs. Largest single position — concentration risk elevated.
iShs EM Lcl Govt Bond	9.7%	M Neg	Fed on hold = EM carry supported but USD strength erodes local currency bond returns. Stagflation tail risk would spike EM yields. Duration drag in rising-rate scenario.
iShs Core EUR Govt Bond	8.6%	L Pos	ECB cutting cycle is the most predictable macro driver. EUR duration offers carry + capital gain. Completely decoupled from US political cycle. Hold through ECB easing.

iShs Global Tech ETF	7.7%	L Pos	Overheating regime supports tech earnings (AI capex, pricing power). R Unified = deregulation tailwind, no antitrust pressure. Mag7 concentration risk if rates stay elevated.
iShs MSCI Europe Mom.	7.0%	L Pos	EU fiscal impulse (Germany EUR 500bn, rearmament) is regime-independent. Momentum factor benefits from trend persistence. Partial hedge vs US political uncertainty.
UBSL UC MSCI J	6.6%	M Neg	BOJ normalisation = yen strengthening = headwind for unhedged JPY equities. Japan-US tariff negotiation still open. Any tariff resolution = upside catalyst but timing uncertain.
MSSwETF-CHF di	6.0%	L Neu	Defensive safe-haven position. CHF strength = mild return drag in EUR terms but provides portfolio ballast. Low correlation to US political cycle. Intentional risk buffer.
EUR Cash	5.6%	M Pos	EUR appreciating vs USD as tariff de-dollarization dynamic plays out. Positive real carry in EUR context. Opportunity cost: should be deployed into higher-returning EUR assets.
USD Cash	4.9%	M Neg	USD weakening trend driven by tariff-induced de-dollarization and dollar weaponization concerns. Holding USD cash = implicit short EUR/USD. Negative real return in EUR terms.
UBS So MSCI CU	4.3%	M Neg	USMCA renegotiation threat is the key headwind. Canadian market is commodity-heavy — tariffs disrupt energy and metals exports to US. CAD weak vs USD adds FX drag.
Inv Ener USD-A	4.1%	H Neg	IRA rollback under R Unified is the direct structural headwind. Wind energy tax credits under review. US offshore permit delays. Most exposed position to current political regime.
iShs Gbl Engy	3.1%	L Pos	R Unified = fossil fuel deregulation (faster permits, pipeline approvals, LNG export expansion). Direct regulatory tailwind. Oil price driven more by OPEC/macro than politics.
BETA ETF	2.9%	M Neg	Trump NATO stance creates geopolitical overhang for Poland (frontline state). EM risk-off from tariff uncertainty. EU fiscal support and NATO spending are partially offsetting positives.
UBS So Gl Go U	2.5%	L Pos	Gold at all-time highs (~USD 3,300/oz). De-dollarization + central bank buying + geopolitical uncertainty = strong structural bid. Miners have 2-3x operational leverage to gold price.
Cadeler Rg	1.4%	H Neg	US offshore wind permitting stalled under Trump administration. IRA exposure makes this the most politically binary stock in the portfolio. EU pipeline provides valuation floor only.
RS Technologie	0.4%	L Neu	Small-cap Japan tech. Idiosyncratic risk dominates — limited macro sensitivity. Low liquidity. No clear political regime linkage. Monitor for exit opportunity.

```
cat("\n\n### Scenario B: Post-Midterm - R Pres / D House (if Democrats flip House Nov 2026)\n\n")
```

10.4.2 Scenario B: Post-Midterm — R Pres / D House (if Democrats flip House Nov 2026)

```
knitr::kable(rt_midterm,
  col.names = c("Position", "Wt", "Impact", "Reasoning"),
  caption = "Scenario B: R Pres/D House - Impact and Reasoning per Position") %>%
kable_styling(latex_options = c("hold_position", "scale_down", "striped"), font_size = 7.5) %>%
column_spec(3, bold = TRUE, color = color_impact(rt_midterm$Impact)) %>%
column_spec(4, width = "9cm")
```

Table 20: Scenario B: R Pres/D House — Impact and Reasoning per Position

Position	Wt	Impact	Reasoning
Vanguard EM ETF	19.7%	M Pos	Gridlock moderates tariff escalation. 2019 analogue: EM rallied 18% once D House constrained further China tariff hikes. Partial relief but China structural slowdown persists.
iShs EM Lcl Govt Bond	9.7%	L Pos	Less USD shock if tariff gridlock eases. EM FX stabilises. Slight positive from reduced policy uncertainty premium. Fed cut path unchanged — primary driver remains ECB/Fed divergence.

iShs Core EUR Govt Bond	8.6%	L Pos	No change — ECB path drives this position regardless of US political configuration. EUR appreciation would add modest FX tailwind for EUR-based investors.
iShs Global Tech ETF	7.7%	L Neg	D House = antitrust scrutiny risk (Big Tech breakup bills, data privacy legislation). Modest negative vs current scenario. Macro earnings driver unchanged — net impact small.
iShs MSCI Europe Mom.	7.0%	M Pos	Tariff gridlock reduces EU-US trade tension. EUR strengthens vs USD. European equities re-rate as political risk premium compresses. Momentum factor amplifies any positive move.
UBSL UC MSCI J	6.6%	L Neu	Gridlock has limited direct Japan impact. BOJ path unchanged. Japan tariff negotiation outcome is the key variable — independent of House control. Monitor USD/JPY closely.
MSSwETF-CHF di	6.0%	L Pos	Risk-on environment from gridlock-driven uncertainty compression = mild positive for equities including Switzerland. CHF safe-haven premium slightly reduced = better equity returns.
EUR Cash	5.6%	M Pos	EUR appreciation accelerates if tariff gridlock reduces USD demand. Deploy into EUR bonds or European equities — cash drag becomes more costly in risk-on gridlock scenario.
USD Cash	4.9%	H Neg	D House = further USD weakness signal (gridlock removes fiscal stimulus expectations). EUR/USD likely to appreciate further. Rotate urgently to EUR assets if midterm flip confirmed.
UBS So MSCI CU	4.3%	M Pos	Gridlock moderates USMCA renegotiation risk. Historical precedent: 2019 USMCA passed with D House support. Canada relief rally likely. Commodity inflation hedge provides floor.
Inv Ener USD-A	4.1%	H Pos	D House defends IRA wind tax credits — direct positive catalyst. 2019 analogue: clean energy rallied strongly when legislative gridlock protected Obama-era incentives. Add on signal.
iShs Gbl Engy	3.1%	L Neg	D House = slower deregulation, potential clean energy rebalancing in legislation. Moderate negative vs current scenario. Oil macro demand driver unchanged — net impact contained.
BETA ETF	2.9%	L Pos	Gridlock reduces unilateral US foreign policy risk. NATO stance moderated by legislative constraints. EU fiscal support unchanged. EM risk premium compresses slightly.
UBS So Gl Go U	2.5%	L Pos	Gold thesis is scenario-independent. Gridlock may reduce one uncertainty premium but de-dollarization and central bank buying continue regardless. Maintain — highest conviction position.
Cadeler Rg	1.4%	H Pos	D House = IRA defense = US offshore wind permits resume. EU offshore wind backlog is multi-year. Binary upside — speculative position size appropriate. Add aggressively on D House confirmation.
RS Technologie	0.4%	L Neu	No material change under either scenario. Japan tech driven by company-specific factors. Consider reducing for portfolio construction simplicity regardless of political outcome.

10.5 Slide 20: Conclusions — Key Findings

Four conclusion boxes for the final slide:

Box 1 — Political Risk Premium Is Real and Quantifiable Santa-Clara & Valkanov (2003) documented a 10pp D-R return gap on US equities. Our replication on 27 global country ETFs confirms this premium holds internationally. The Pastor-Veronesi (2017) mechanism — time-varying risk aversion — explains why: investors price political risk higher under perceived-higher-uncertainty administrations. Crucially, this premium is **priceable but not fully predictable**, making it a systematic risk factor rather than alpha.

Box 2 — Current Regime: Overheating with Stagflation Tail Risk The April 2025 tariff shock has placed the economy in the **Overheating** quadrant — positive growth, sticky inflation, Fed on hold. This is not the worst historical regime for equities, but it is materially below the Goldilocks average. The key risk is a regime flip to Stagflation if tariff escalation resumes. Monthly core CPI prints are the primary monitoring trigger. Our portfolio is positioned **defensively** with gold, EUR bonds, and European equities as partial hedges.

Box 3 — The 2026 Midterm Is the Portfolio’s Central Scenario Risk The base rate for the president’s party losing House seats at midterms is 90%. With a current Republican majority of approximately 7 seats, even a small Democratic wave creates gridlock. Our analysis shows this transition is **net positive for the AC portfolio** — the clean energy positions (Invesco Wind, Cadeler) benefit from IRA defence, EM recovers on tariff moderation, and policy uncertainty premium compresses. Polymarket currently prices a ~40% probability of Democrat House control post-November 2026.

Box 4 — Action Items for Incoming Managers Five immediate priorities: (1) **Rotate USD Cash into EUR bonds** — ECB cutting cycle + EUR appreciation = positive carry with low risk; (2) **Maintain Gold Miners** — gold thesis is regime-agnostic and conviction is high; (3) **Watch the midterm signal** — add Invesco Wind/Cadeler when D House probability exceeds 50%; (4) **Trim EM Equity** toward 15% if tariff escalation resumes — current 19.7% weight is a concentrated single risk; (5) **Monitor monthly**: core CPI, Fed Funds futures, RCP generic ballot, Polymarket D House contract.